Coherent (COHR)

Full investment research | Model assumptions and source evidence

October 8, 2026 evidence update: September conference claims are integrated with source images and explicit overlap/cost treatment. Financial forecasts and valuation are unchanged. Both analytical and Portfolio Excel Base are **80/100**.

October 8 conference evidence: capacity, contracts and the existing earnings ramp

The two Coherent crops supplied as **Cisco3.jpg and Cisco4.jpg** are consecutive portions of a conference note, not Cisco research. The text attributes meetings and a fireside chat to CEO Jim Anderson, EVP Industrial Christopher Dorman and SVP Investor Relations and Corporate Communications Paul Silverstein at the J.P. Morgan U.S. All Stars Conference. A matching public report index identifies a September 28, 2026 J.P. Morgan note by Joseph Cardoso; this remains **provisional metadata**, because the supplied crops omit the original report header. Cisco separately confirms that its meeting at that conference occurred on September 23. These are September statements reviewed on October 8, not a new October earnings period. [COHR-CF1, CF2]

Optical growth and what the current model already contains

The source describes two growth mechanisms: datacenter expansion and conversion of scale-up links from copper to optics. Its estimate of roughly ten times as many scale-up connections as scale-out connections describes an architecture opportunity. It does not establish ten times the optical revenue, laser area, ASP or Coherent share. Adoption timing, reach and the chosen link implementation still determine the invoice.

Coherent (COHR)

We hosted investor meetings and a fireside chat with Coherent's Jim Anderson (*Chief Executive Officer*), Dr. Christopher Dorman (*EVP, Industrial*), and Paul Silverstein (*SVP, Investor Relations and Corporate Communications*) at the J.P. Morgan U.S. All Stars Conference. Our takeaways from the meetings and fireside chat were as follows:

- **Optical growth benefiting from both data center expansion as well as scale-up conversion.** The optical industry is benefiting from two independent secular drivers: continued data center growth and the conversion of the scale-up network from copper to optical. Importantly, with the latter estimated to have roughly 10x the number of connections as scale-out, the transition is envisioned as a substantial incremental opportunity for optics rather than simply a function of data center capex growth. That said, while the end state is clear, the key debate is the pace of adoption by each hyperscaler.
- **Stays architecture-agnostic as PhotonLink targets multiple optical paths.** The recently announced PhotonLink is intended to support CPO, NPO, and chip-to-chip optical connections, with Coherent positioning itself as differentiated by having the major photonic building blocks in-house and the ability to integrate them into a complete

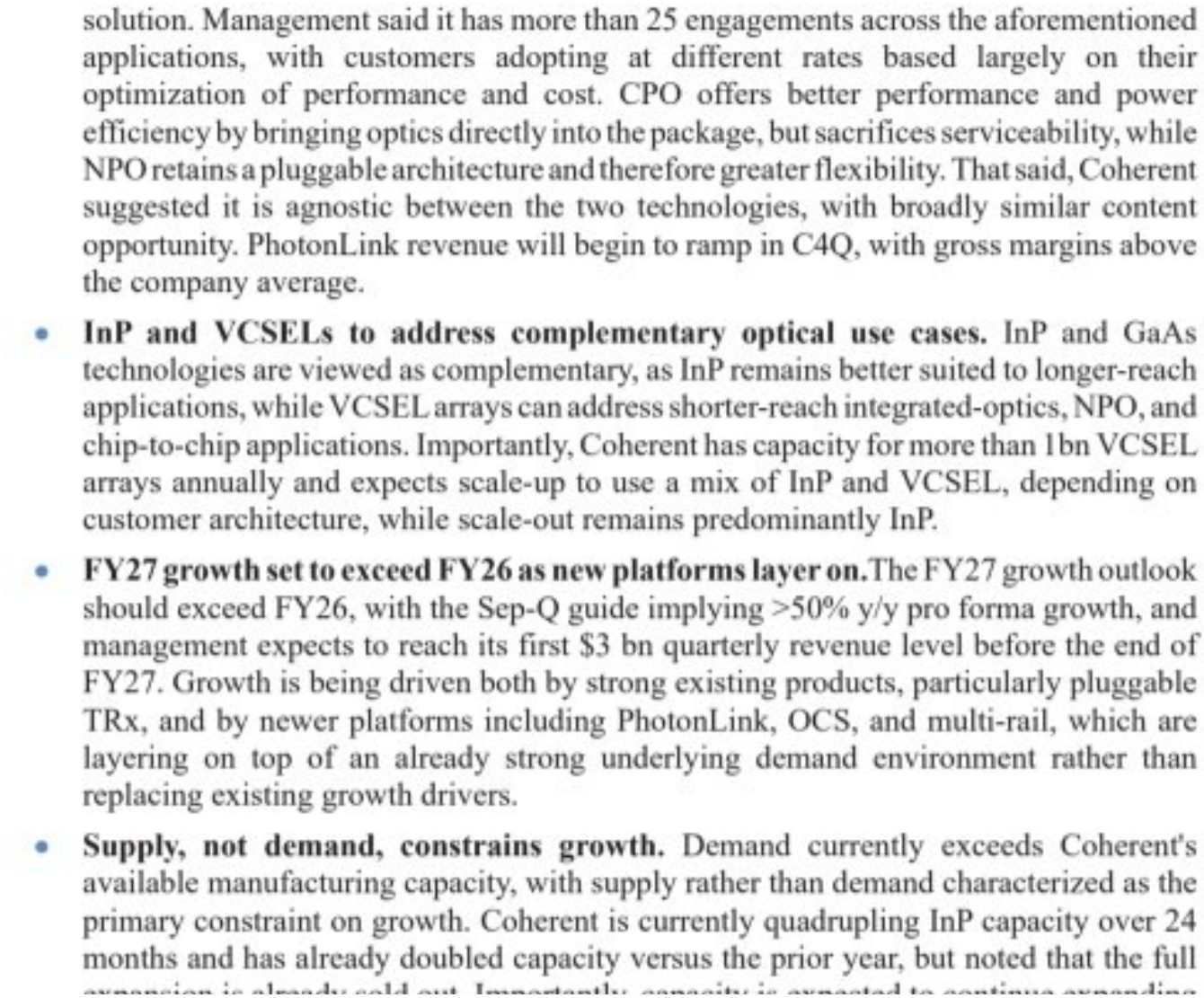
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Original supplied Cisco3.jpg: Coherent section of the conference note, continuing in Cisco4.jpg. Probable September 28, 2026 JPMorgan note; original header absent. Scale-up connection counts and PhotonLink claims are attributed management commentary.

The note's more-than-25 PhotonLink engagements and calendar-Q4 ramp repeat the September 21 launch evidence. The issuer release identifies more than ten CPO engagements, more than ten NPO engagements and more than five chip-to-chip engagements, with an expected Q4 calendar-2026 revenue ramp. The launch, customer-engagement count and December timing are already included here. Integrated platforms must replace their underlying component invoices in the revenue reconciliation; they cannot be added above the same laser, isolator and engine sales. [COHR-CF3]

The source reiterates a first $3 billion quarterly revenue result before the end of FY2027, or June 2027. The active model already carries **$3,332.7125 million in calendar Q2 2027**, after the selected UHP risk. Before that risk it carried $3,340 million. The conference statement does not provide a higher awarded shipment endpoint. It supports the growth thesis while leaving the existing manufacturing and qualification burden intact.

Capacity and margin gains have already entered the reference path



solution. Management said it has more than 25 engagements across the aforementioned applications, with customers adopting at different rates based largely on their optimization of performance and cost. CPO offers better performance and power efficiency by bringing optics directly into the package, but sacrifices serviceability, while NPO retains a pluggable architecture and therefore greater flexibility. That said, Coherent suggested it is agnostic between the two technologies, with broadly similar content opportunity. PhotonLink revenue will begin to ramp in C4Q, with gross margins above the company average.

- **InP and VCSELs to address complementary optical use cases.** InP and GaAs technologies are viewed as complementary, as InP remains better suited to longer-reach applications, while VCSEL arrays can address shorter-reach integrated-optics, NPO, and chip-to-chip applications. Importantly, Coherent has capacity for more than 1bn VCSEL arrays annually and expects scale-up to use a mix of InP and VCSEL, depending on customer architecture, while scale-out remains predominantly InP.
- **FY27 growth set to exceed FY26 as new platforms layer on.** The FY27 growth outlook should exceed FY26, with the Sep-Q guide implying >50% y/y pro forma growth, and management expects to reach its first $3 bn quarterly revenue level before the end of FY27. Growth is being driven both by strong existing products, particularly pluggable TRx, and by newer platforms including PhotonLink, OCS, and multi-rail, which are layering on top of an already strong underlying demand environment rather than replacing existing growth drivers.
- **Supply, not demand, constrains growth.** Demand currently exceeds Coherent's available manufacturing capacity, with supply rather than demand characterized as the primary constraint on growth. Coherent is currently quadrupling InP capacity over 24 months and has already doubled capacity versus the prior year, but noted that the full

Original supplied Cisco4.jpg: continuation of Coherent conference takeaways. Capacity, pricing, LTAs and costs are management-attributed statements. VCSEL array units and the six-inch cost denominator require qualification before numerical use. Original exhibit, panel 1 of 2; read from top to bottom.

expansion is already sold out. Importantly, capacity is expected to continue expanding beyond the current program, although the pace is constrained by the physical requirements of building factories, installing equipment, and training operators.

- **Pricing, mix, and structural cost reductions drive margin expansion.** The three main sources of margin expansion are continued pricing on existing products, a mix shift toward higher-margin new products, and structural cost reductions. Strong demand relative to supply has allowed the company to raise prices, while newer products such as PhotonLink, OCS, and multi-rail should be positive to mix. On the cost side, the transition to 6-inch InP is expected to materially reduce unit costs, with each wafer producing >4x as many devices at less than half the cost of a 3-inch wafer. Gross margin has increased from 34% in FY24 to guided levels of 40.5%, with a goal of >42% and management expecting further expansion beyond that level.
- **LTAs reducing capacity risk.** Long-term agreements are generally structured around fixed volumes, often on a take-or-pay basis, with pricing designed to support margin objectives. Importantly, customers can fund a meaningful portion of the capacity investment, with Nvidia cited as an example and Coherent noting that it uses those funds to build dedicated capacity while targeting an 18-month payback. More broadly, management noted that LTAs can include customer prepayments or other upfront commitments, reducing the amount of capital at risk when expanding capacity.
- **Western-based photonics footprint supports resilient supply chain positioning.** Critical photonic ingredients underlying the products are primarily manufactured in the U.S. and Europe, with alternative Western sources available where China is part of the supply chain. Importantly, assembly/test of transceivers is viewed as the least differentiated portion of the value chain, with the key IP and gross-margin dollars residing in lasers, isolators, TECs, and other optical ingredients. This vertical integration is presented as an advantage, with Western customers seeking a resilient supply chain. Separately, China represents a small percentage of revenue at ~10%.

Original supplied Cisco4.jpg: continuation of Coherent conference takeaways. Capacity, pricing, LTAs and costs are management-attributed statements. VCSEL array units and the six-inch cost denominator require qualification before numerical use. Original exhibit, panel 2 of 2; read from top to bottom.

The source describes InP capacity quadrupling over 24 months, sold-out expansion and continued investment limited by factory, equipment and operator lead times. Its margin explanation combines existing-product pricing, higher-margin new products and structural cost reductions. These are the same mechanisms behind the saved twice-doubling capacity narrative and rising DC&C margins. Current blended gross margin already reaches **42.39% in Q2 2027 and 43.65% in Q4 2027**, beyond the stated 42% goal. The new crops do not identify extra qualified good-unit output, a new price premium or a distinct product wallet above that path.

Two numerical boundaries matter. First, the screenshot says capacity for more than one billion **VCSEL arrays annually**. Preserve that wording as an attributed claim until its unit and operating scope are established; it is not the same as the issuer launch release's more than one billion **historically shipped photodetectors**. Second, the six-inch cost sentence does not clearly distinguish total processed-wafer cost from cost per good die. Larger wafer area, saleable output and lower unit cost are related drivers, not three separate revenue additions. No universal yield, ASP or incremental gross-margin assumption is inferred from that sentence.

September conference outcome assessed	Subjective probability	Bounded interpretation and reference already modeled	Additional economics from this source
A quarter at or above $3 billion by June 2027	70%	Source threshold $3,000M; existing active Q2 2027 revenue $3,332.7125M. Existing pre-risk reference $3,340M bounds the comparison, not a new award.	100% same-event overlap. $0 revenue, COGS, opex and OP added.
Initial PhotonLink revenue ramp in Q4 CY2026	75%	Existing December ramp; separately retained 20%-weighted $649.125M NPO source-case proxy within reference 2027 DC&C of $12,292.5825M before risk.	100% overlap with modeled platform demand; no second invoice or cost stack.
Pricing, mix and capacity support blended GM above 42% during 2027	65%	A 42-44% Q4 2027 diagnostic band contains the current 43.65% blend; no distinct additional premium or output schedule supplied.	Existing price/mix/manufacturing economics retained; no extra GP or operating leverage added.
Customer commitments reduce the capital exposed to dedicated expansion	60%	Economic mechanism is credible; actual contract amounts, repayment terms, output rights and accounting differ. Existing capacity ramp retained.	No automatic revenue, OP, cash or net-debt credit from a financing description.

These are probabilities for the defined corroborating outcomes, not new multipliers on company revenue. They do not replace the existing 40% policy scenario, the 25% UHP qualification-risk branch or the separate 20% exact NPO volume/ASP case. The NPO diagnostic remains $629.625-668.625M when its assumed 3.2T ASP varies from $900 to the $1,000 boundary at midpoint units; the original crop provides no lower ASP bound and says below $1,000. None of these diagnostic values is additive to current DC&C.

Customer funding helps execution; its accounting determines shareholder economics

The conference note says LTAs can fix volumes, use take-or-pay commitments and include customer funding or prepayments. Such terms can reduce the cash at risk and improve factory utilization visibility. They can also reserve capacity or fix selling prices, so they do not prove that every committed unit receives an additional scarcity premium. The cited approximately 18-month capital payback is a cash-recovery statement under an unspecified calculation, not an operating margin.

The NVIDIA example requires a precise distinction. The **March 2, 2026 8-K** records **$2 billion of common-equity financing through 7,788,161 shares at $256.80 each**. NVIDIA separately announced a multibillion-dollar product purchase commitment. The equity proceeds are not a customer prepayment or product revenue, and they are not new October cash. The current post-June share anchor already follows this event; these shares must not be added a second time. [COHR-CF4, CF5]

A bounded funding proxy illustrates the limit: for each hypothetical $100M dedicated expansion project, customer funding of 0-100% could lower the supplier's initial own-cash requirement by $0-100M. It does not add $0-100M of operating profit. An 18-month simple payback would imply approximately $66.7M of annual cash recovery only if that were the actual payback definition; it cannot reveal product revenue, margin, depreciation or contractual cash obligations. The existing operating-profit valuation therefore receives no financing uplift from this crop. Actual prepaid amounts, repayment or supply obligations, dedicated capacity, depreciation and any net-debt effect are the required next inputs.

The bounded UHP risk remains in force

Broad engagements and reported InP capacity do not resolve the existing matched-power, temperature, noise and customer-acceptance questions. The selected **25% risk on 5% of reference DC&C** remains, with a 20% conditional shipment shortfall, 10% stranded attached COGS and qualification opex equal to 2% of the exposed pool. It continues to deduct **$11.349096M of operating profit from Q4 2027 through Q3 2028**. No additional penalty is applied, and no missed Coherent shipment is assigned automatically to Lumentum.

Q4 2027 remains $493.762846 per share at 20x forward-four-quarter non-GAAP operating profit and 211M diluted shares. Analytical Base and Portfolio Excel Base are both 80. This is an evidence update with no incremental financial-model change. Revisit the overlap or probabilities when accepted shipment quantities, qualification results, additional good-unit capacity, repriced contracts or cash-accounting terms exceed or contradict the saved path.

Sources: **COHR-CF1** is the original user-supplied Cisco3/Cisco4 crop chain, copied without alteration. **CF2:** Cisco conference schedule confirming September 23; matching secondary report metadata, provisional September 28/author attribution. **CF3:** Coherent PhotonLink launch. **CF4:** March 2 financing 8-K. **CF5:** NVIDIA strategic agreement.

Engineering integration: October 6, 2026. Existing financial paths, program probabilities, valuation method and both Base scores are retained. The technical evidence below adds qualification, cost and substitution detail.

CURRENT EDITION - 8 October 2026 | Framework 8.0

Full investment research, current probability-weighted operating model and retained analytical score. Financial assumptions, source evidence and forward estimates are distinguished throughout.

UHP qualification: the operating envelope determines the risk

Irrational Analysis's July 11, 18 and 25 articles explain the earlier reasoning behind the later UHP qualification critique. They raise legitimate questions about noise after amplification, wavelength stability and the cost of assembling a qualified light source. The language about unusable products, inevitable failure and poor company-wide processing goes beyond the evidence supplied. These are one author's connected research stream; the July articles do not supply a second independent failure observation.

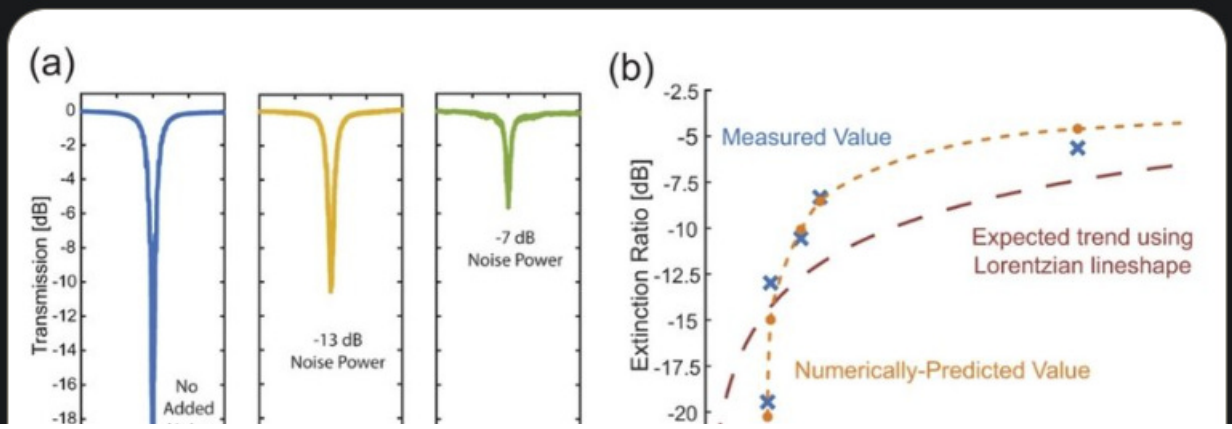
The July NPO/CPO article infers a 0.1-0.3 MHz requirement from a reported move toward "DCI-like" specifications. That is the author's inferred range, not a published NVIDIA acceptance limit. The figure it reproduces comes from West et al.'s 2020 high-extinction modulation study. The experiment uses a roughly 7 MHz optical ring filter near 1580 nm. It demonstrates that the full noise lineshape affects extinction and that a linewidth number alone can mislead. It does not establish that a particular Coherent CPO product fails. The measurement question remains the one already documented in the current artifact: match optical power, temperature, drive current, noise definition and observation interval to the receiving engine's requirements.

Irrational Analysis @insane_analyst · Jul 8

A little (sell-side) bird told me Nvidia NPO laser requirments are "more DCI like".

My view is this means narrower linewidth. Say 0.1-0.3 MHz vs 0.5-1 MHz prior.

To get good density on NPO, Nvidia needs to boost modulation speed. Thus need better extinction ratio.



Experimental frequency-noise illustration reproduced in the July article. The underlying filter experiment is not a NVIDIA specification or Coherent qualification test. Original exhibit, panel 1 of 2; read from top to bottom.

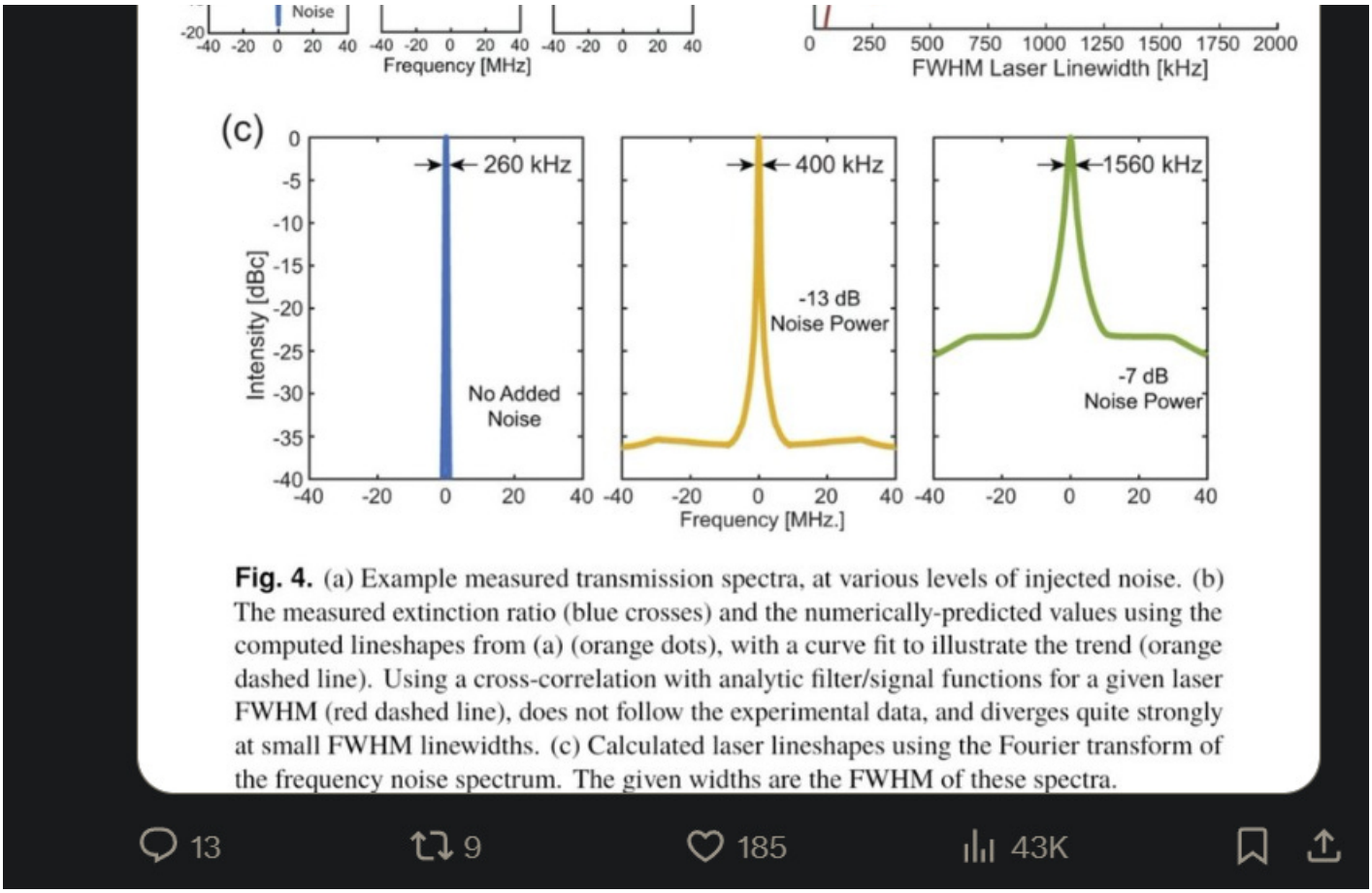


Fig. 4. (a) Example measured transmission spectra, at various levels of injected noise. (b) The measured extinction ratio (blue crosses) and the numerically-predicted values using the computed lineshapes from (a) (orange dots), with a curve fit to illustrate the trend (orange dashed line). Using a cross-correlation with analytic filter/signal functions for a given laser FWHM (red dashed line), does not follow the experimental data, and diverges quite strongly at small FWHM linewidths. (c) Calculated laser lineshapes using the Fourier transform of the frequency noise spectrum. The given widths are the FWHM of these spectra.

13 9 185 43K

Experimental frequency-noise illustration reproduced in the July article. The underlying filter experiment is not a NVIDIA specification or Coherent qualification test. Original exhibit, panel 2 of 2; read from top to bottom.

The SOA discussion also needs a product boundary. A master-oscillator/power-amplifier arrangement separates wavelength generation from power amplification; reflections and amplified noise must be controlled. The assertion that every integrated version must fail is not established. Sivers' ECOC 2025 presentation explicitly treats long-cavity DFB and DFB-plus-SOA approaches as design alternatives. That does not certify Coherent's implementation, but it prevents a valid engineering risk from becoming a universal impossibility claim. Likewise, a single-wavelength amplifier path is not tested by a figure showing interference among several simultaneous wavelengths.

Coherent's breadth matters to the capture analysis. The author sees possible isolator and packaging content even in the alternative architecture, but his approximately 60% isolator-share estimate is explicitly uncertain and lacks a verified primary denominator. No standalone isolator revenue is added. When Coherent sells an integrated engine, its component content belongs inside that invoice; the same laser, isolator and engine cannot each be booked again as separate external sales.

The management Q&A reproduced in July says EML and silicon-photonics transceiver gross margins are broadly similar. That does not identify the underlying EML process yield or silicon-photonics alignment cost. Selling prices, product generations, internal versus purchased components and allocated manufacturing costs can all produce similar aggregate margins. The current artifact already places management's improved six-inch yield and output claims beside the UHP critique. Those statements are counter-evidence to broad process failure, while not replacing the needed matched UHP acceptance data. September's PhotonLink launch also updates the July timing claim that there would be no relevant product before 2027.

Papa Talla Sylla: It is clear that demand for 1.6T is very strong in early deployments. Can you touch on the mix you are seeing between EML, SiPho, and perhaps VCSEL? And what would be the margin implications of selling a higher SiPho transceiver versus EML, or vice versa?

James Robert Anderson: We do not see a significant margin difference between EML- or SiPho-based transceivers; both are in the same ballpark of gross margin, and we are ramping both. On 1.6T, we are ramping both EML- and SiPho-based products. Remember, even a SiPho-based transceiver requires a CW laser based on indium phosphide, so both require indium phosphide capacity—another reason we are driving the indium phosphide ramp. For us, the EML versus SiPho mix is determined by customer application—pros and cons vary by use case, and we work with customers to choose the best fit. We do expect VCSELs to be used later as well.

Our 200G VCSEL development is going very well, and we expect 200G VCSELs to be adopted in some CPO or NPO applications. The initial 1.6T ramp is a combination of EML and SiPho.

Historical management discussion of transceiver margins and EML/SiPh ramps. Aggregate margin parity does not uniquely diagnose a process defect.

The existing 25% risk branch is the appropriate home for this repeated mechanism. It affects 5% of reference DC&C revenue, with a 20% conditional shortfall, 10% stranded attached COGS and qualification opex of 2% of the exposed pool. It already removes $11.349096M of operating profit from Q4 2027-Q3 2028. No second July penalty is added to the same ramp, and no missed Coherent shipment becomes automatic Lumentum revenue. The separate 20%-weighted $649.125M 2027 NPO sizing case remains fully overlapped with DC&C; its weight is not multiplied into the UHP risk. FCC remains 40%. The current price target remains $493.762846 at 20× F4Q non-GAAP operating profit and 211M shares, with analytical Base 80 and Portfolio Excel Base 80.

Evidence that can change those inputs includes customer-specific noise limits, accepted power and temperature, repeat production-lot qualification, rework cost, actual shipped mix and a more precise exposed revenue pool. This is a probabilistic operating risk already priced before confirmation; the July prose does not identify an additional loss pool.

Policy engineering is separate from policy economics. The August 5 article argues from CMIS authentication to a broad security conclusion. OIF CMIS 5.4, section 7.3.3 makes module authentication optional; its later protocol description does not mean all deployed modules are authenticated, payload-encrypted or free of firmware risk. Nor does it prove that a particular module is compromised. This technical correction does not create a second regulatory event. The existing October 1 40% policy outcome, filtered product exposure and recognition timing remain controlling; the older August discussion is fully overlapping evidence, with zero new revenue, COGS, opex or OP.

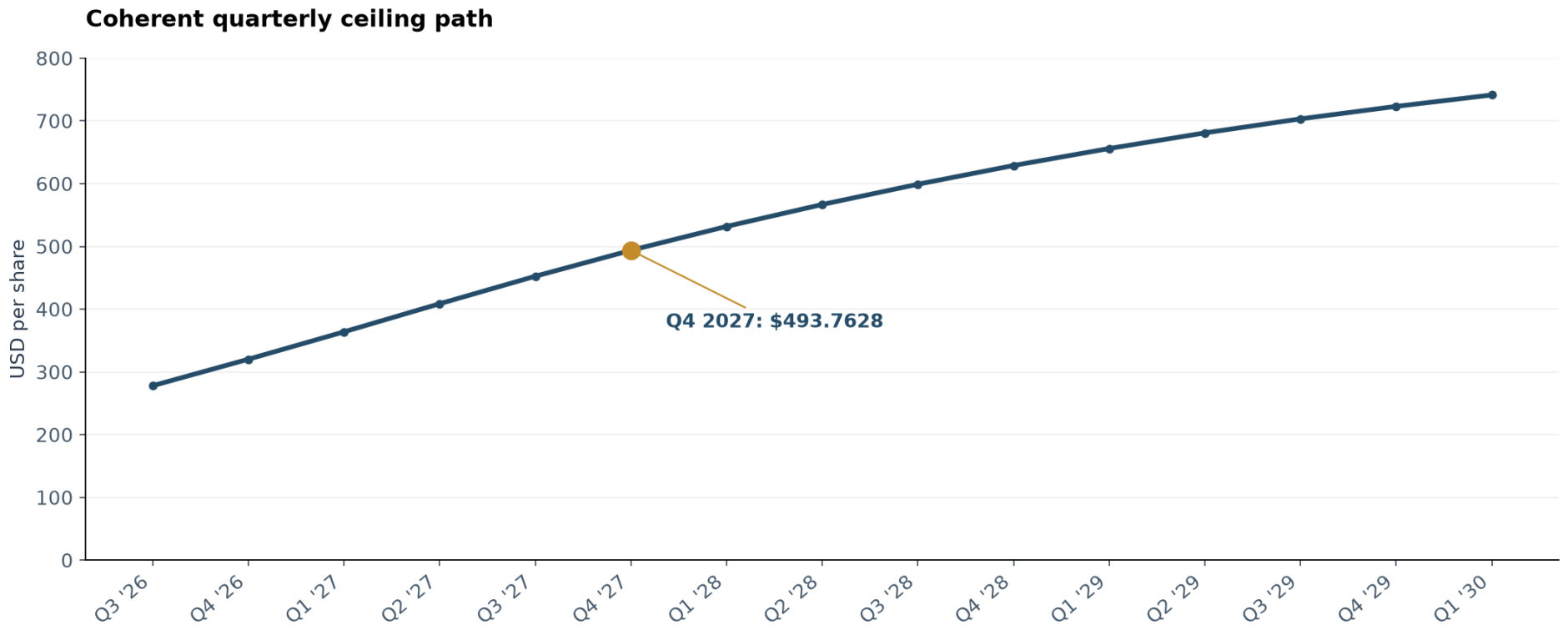
Review scope: complete saved July 11, July 18 and July 25 articles and all 43 image elements were accounted for. One locally saved SOA figure was a placeholder; its original illustration was recovered separately from the cited 2017 research paper and retained in the audit. Original submitted files were preserved. Generic teaching diagrams, the author's spreadsheet assumptions and issuer measurements have distinct evidentiary status.

Q4 2027 price target

Current model item	Value
Q4 2027 price target	493.7628 USD/share
Valuation window	Q4 2027 to Q3 2028
Artifact analytical Base	80/100
Portfolio Excel Base	80/100

The active model includes the existing 40% policy repricing case and a 25% probability-weighted UHP qualification risk applied to a narrow 5% DC&C exposure proxy. Fixed contracts, production capacity and application qualification constrain the outcomes.

The sanctioned valuation remains **20x forward-four-quarter operating profit**, with the existing accounting basis, ownership, shares and currency conversion. The active price target next rolls on January 1, 2027.



Current Coherent quarterly price targets, USD/share. Gold marks the active Q4 2027 horizon. The existing 40% FCC case and selected 25% engineering-risk branch enter operating earnings once.

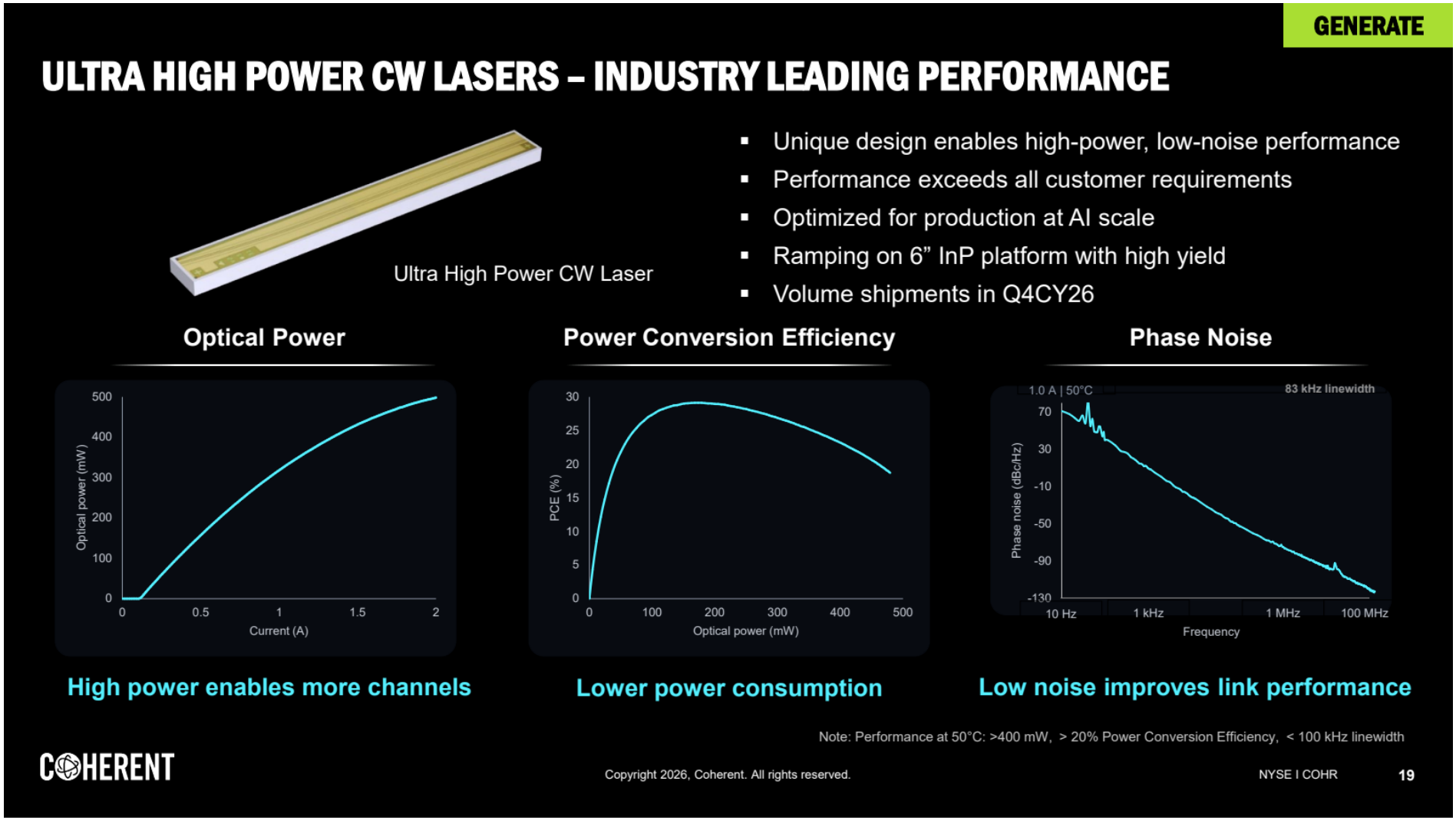
price target quarter	Current price target USD/share
Q3 2026	277.9712
Q4 2026	320.1940
Q1 2027	363.8439
Q2 2027	408.6531
Q3 2027	452.4455
Q4 2027	493.7628
Q1 2028	531.8408
Q2 2028	566.8120

price target quarter	Current price target USD/share
Q3 2028	599.0908
Q4 2028	628.9370
Q1 2029	656.0419
Q2 2029	680.9326
Q3 2029	703.2817
Q4 2029	723.1898
Q1 2030	741.3460

High-power laser qualification: evidence and bounded risk

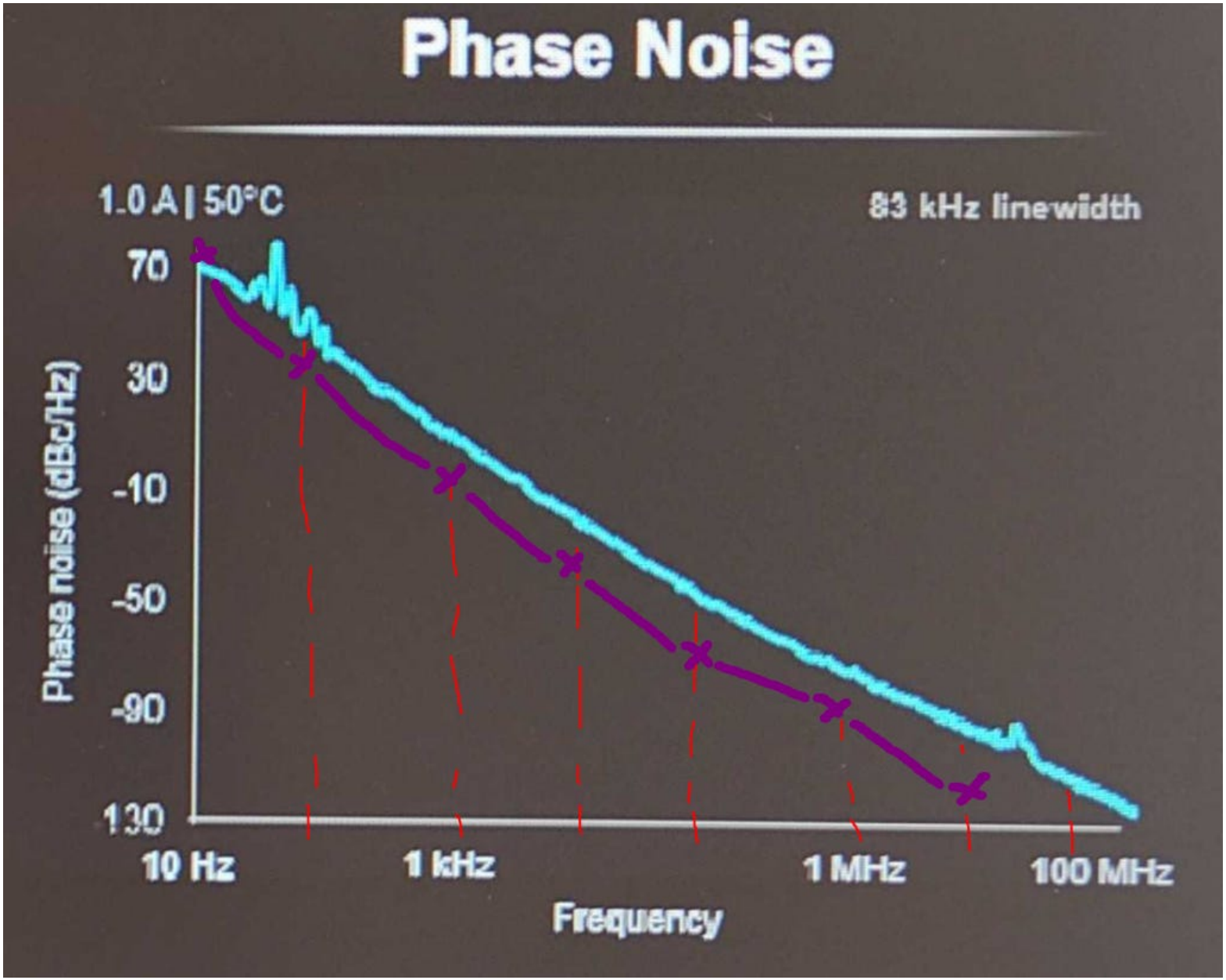
Coherent's low-frequency laser noise is a credible engineering breadcrumb for application qualification and ramp costs. The three linked Irrational Analysis articles make a detailed comparative argument: Lumentum earnings, August 11, Coherent earnings, August 14, and September 21 follow-up. The author reports firsthand Lumentum measurements, but supplies no raw matched-condition dataset. The evidence supports a **bounded risk adjustment**, not the claim that Coherent's whole laser business is defective.

What the published Coherent measurement actually shows



Coherent original September 21 PhotonLink presentation, slide 19. Phase-noise trace: 1.0 A, 50 C, labeled 83 kHz. The adjacent power curve puts that current near 300 mW; 400 mW requires roughly 1.35 A. Summary specifications are not proof of one simultaneous test point.

Primary slide. Coherent presents a high-power CW laser, claims it meets customer requirements and targets Q4 CY2026 volume shipments on six-inch InP. The plotted low-frequency noise deserves scrutiny. The 83 kHz label does not identify intrinsic versus beta-separation linewidth or specify the integration/observation time.



Irrational Analysis, September 21: qualitative Lumentum overlay on the Coherent phase-noise chart. The annotation is the analyst comparison, not issuer-provided matched data; raw traces, conversion workings and integration bounds are absent.

The author argues that effective linewidth can substantially exceed the white-noise intrinsic value. That mechanism is valid enough to assess commercially, while the exact comparative number and application failure remain unresolved. The relative operating currents, optical powers, detector floor and measurement methods must match before treating the overlay as quantitative proof.

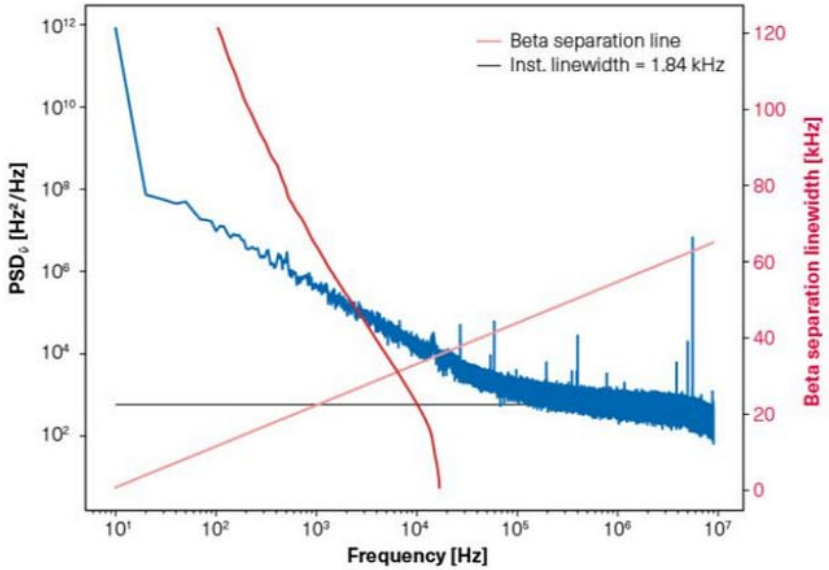


Fig. 1: Power spectral density (PSD) of the laser´s frequency noise (blue curve). The black, horizontal line indicates the white noise level caused by intrinsic noise. The orange line is the beta separation line. Only components of the frequency PSD which lie above this line contribute to the beta separation linewidth. The red line is the beta separation linewidth as a function of the lower integration limit.

specifications which can be found on TOPTICA´s website and the laser diode stock lists.[4]
Second, we define the *beta separation linewidth*, which is based on the beta separation line introduced by Di Domenico et al. [5]

$$\Delta\nu_\beta = \sqrt{8\ln(2)A}, \qquad (2)$$

where A is the surface under the portions of $PSD_{\tilde{\nu}}(f)$ that exceed the beta separation line [5]

$$A = \int_{f_0}^{\infty} H\left(PSD_{\tilde{\nu}}(f) - \frac{8\ln(2)\,f}{\pi^2}\right) PSD_{\tilde{\nu}}(f)\,df, \qquad (3)$$

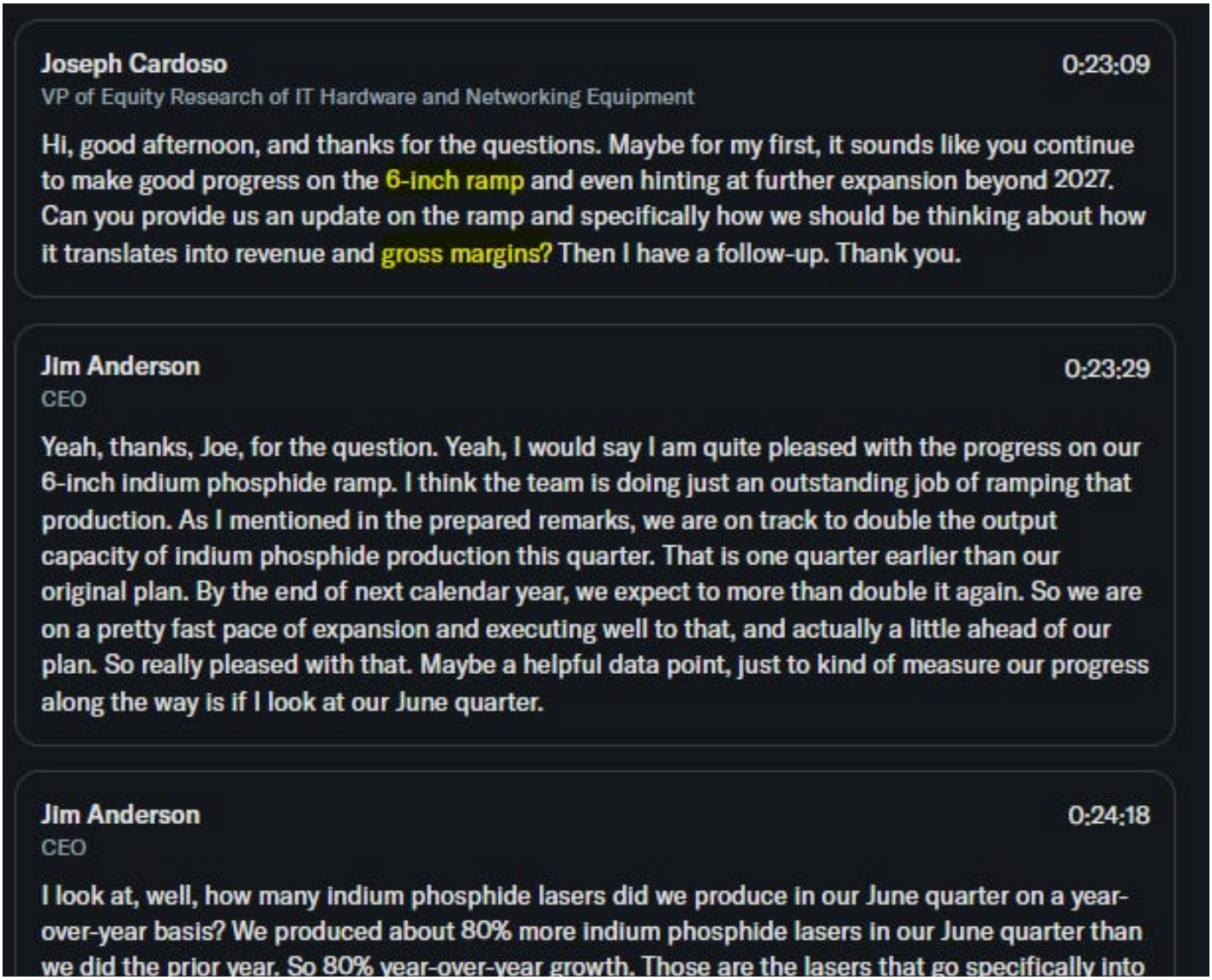
with $H(x)$ being the Heaviside unit step function ($H(x) = 1$ if $x \geq 0$ and $H(x) = 0$ if $x < 0$) and f_0 being a lower integration limit. This quantity is a FWHM linewidth which approximates the linewidth of the actual power spectrum of the laser´s electric field with an integration time of $T_0 = 1/f_0$. For many diodes TOPTICA can provide the beta separation linewidth upon request for various lower integration limits. For the example in *Fig. 1* only noise below approximately 20 kHz contributes to this FWHM linewidth, while noise above this threshold contributes to the pedestal

Method excerpt supplied in the September article: beta-separation linewidth depends on the low-frequency integration limit and observation time. It explains why a single unexplained kHz number cannot settle this comparison.

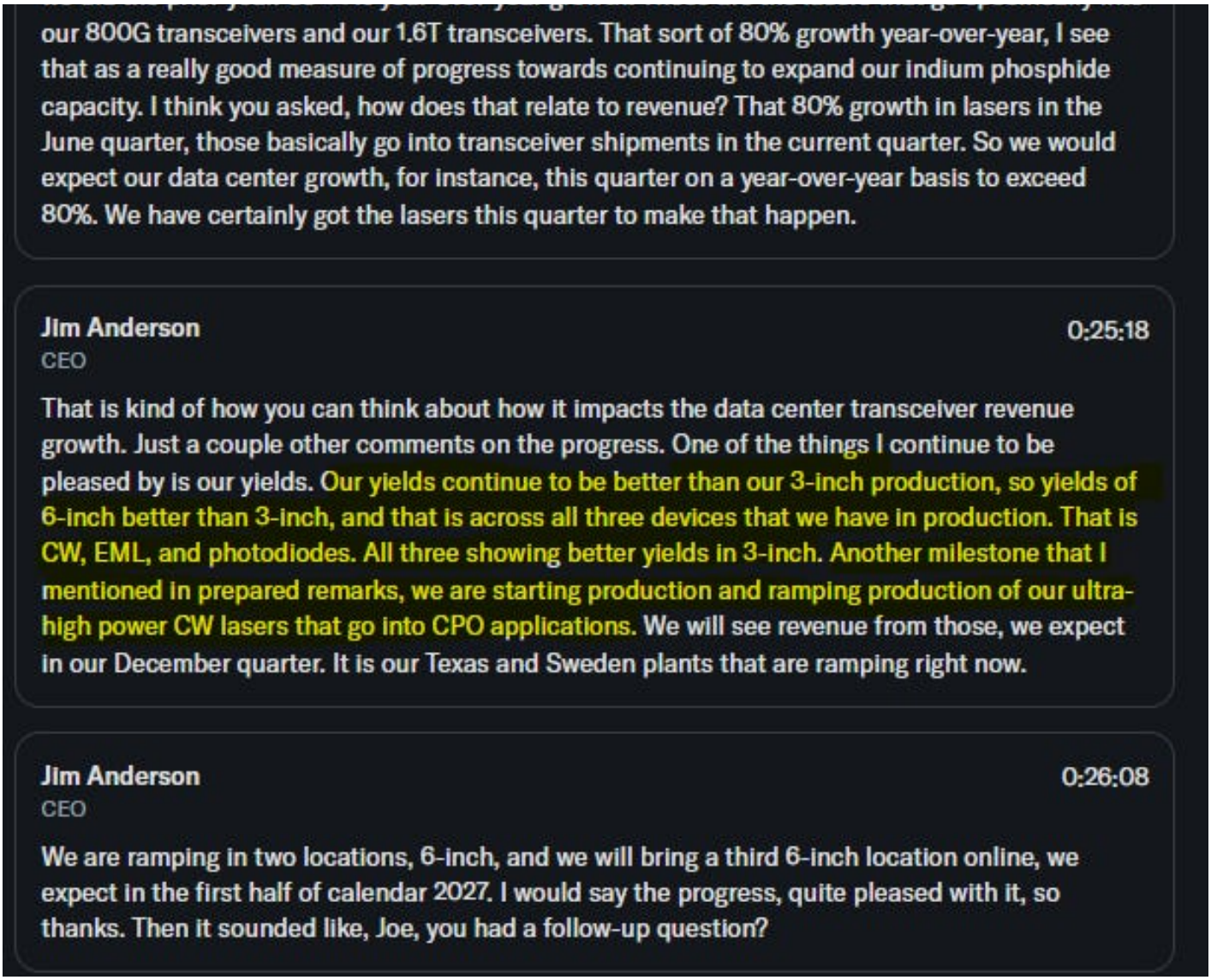
Source requirement or assertion	Verified scope	Investment treatment
OCI linewidth maximum 1 MHz	OCI v1.0 Table 2-6; beta method and observation time are not specified	Application-specific qualification risk is legitimate; universal failure is unproven
OCI RIN -144 dB/Hz	Intensity noise, distinct from phase noise	Do not compare the September phase plot directly with a RIN limit
OIF ELSFP optical requirements	Section 3.4 defers critical optical limits to the application	No single 1 MHz effective-linewidth requirement for every CPO/NPO design
Author Lumentum 0.5-1.2 MHz effective / 10-50 kHz intrinsic	Attributed private measurements varying with current and temperature	Useful engineering testimony; no matched raw Coherent dataset
Coherent -135 dB/Hz RIN	Hypothetical comparison in August; no such Coherent measurement supplied	No active model penalty from an invented measured RIN gap

OCI specification and OIF ELSFP specification. The saved August final RIN figure belongs to Lumentum. A 20 dB spectral-density difference implies 100 times the variance or 10 times RMS fluctuation over the same bandwidth, not 100 times amplitude. This arithmetic issue and the unspecified linewidth method lower the weight on the author's categorical conclusion; they do not erase the narrower qualification concern.

Manufacturing counter-evidence belongs beside the critique

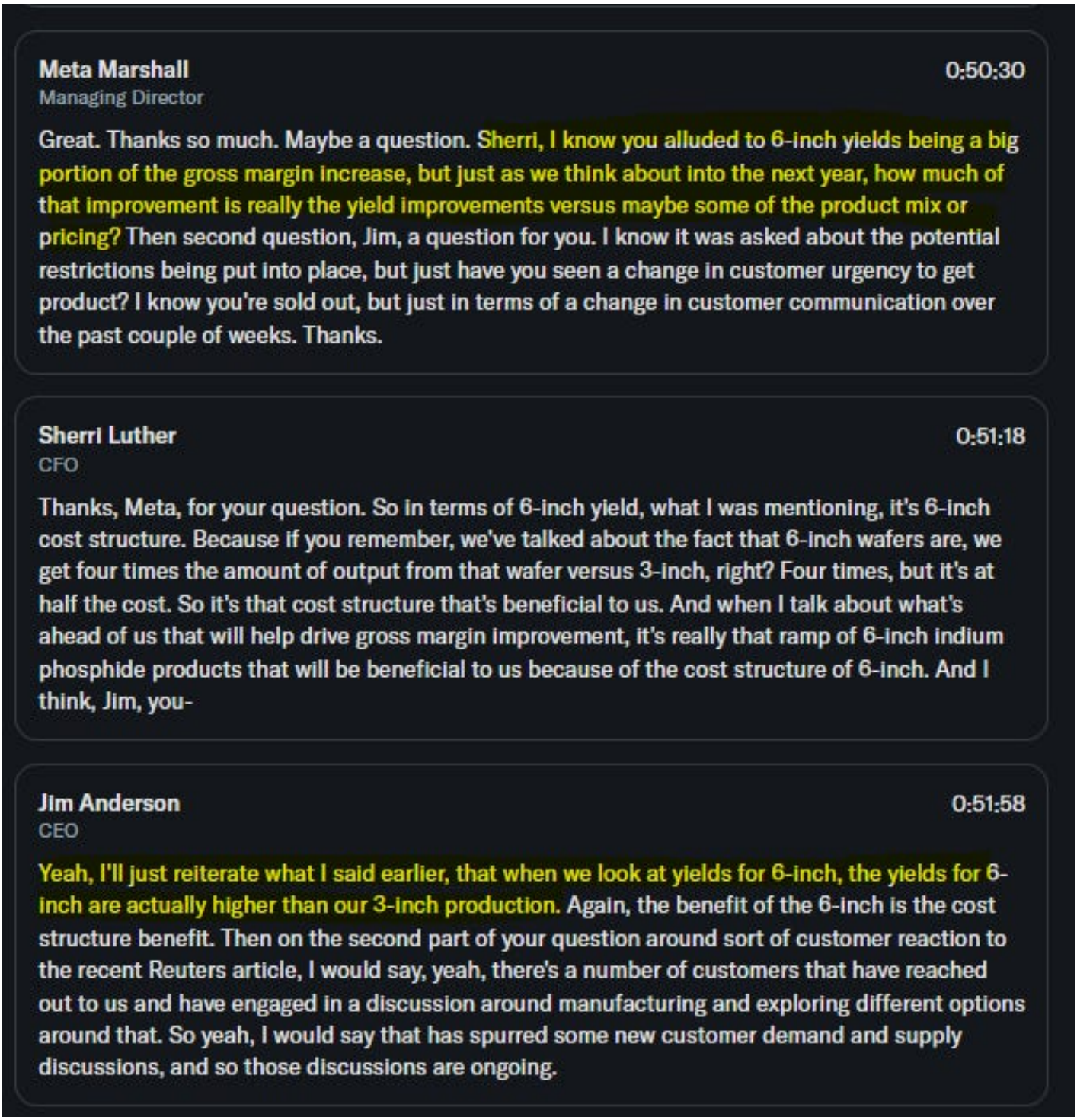


Coherent August earnings-call excerpt: management reports better six-inch than three-inch yields across EML, CW and photodiodes, with higher InP production. This is direct counter-evidence to a broad claim of disastrous six-inch yields. Original exhibit, panel 1 of 2; read from top to bottom.



Coherent August earnings-call excerpt: management reports better six-inch than three-inch yields across EML, CW and photodiodes, with higher InP production. This is direct counter-evidence to a broad claim of disastrous six-inch yields. Original exhibit, panel 2 of 2; read from top to bottom.

The 80% output-growth statement concerns InP production supporting transceivers. It does not separately prove low-noise UHP acceptance at a particular power and temperature. Equally, a UHP qualification concern does not negate the reported manufacturing improvement across other devices. Wafer yield, device performance yield and customer system acceptance are separate steps.



Meta Marshall 0:50:30
Managing Director

Great. Thanks so much. Maybe a question. Sherri, I know you alluded to 6-inch yields being a big portion of the gross margin increase, but just as we think about into the next year, how much of that improvement is really the yield improvements versus maybe some of the product mix or pricing? Then second question, Jim, a question for you. I know it was asked about the potential restrictions being put into place, but just have you seen a change in customer urgency to get product? I know you're sold out, but just in terms of a change in customer communication over the past couple of weeks. Thanks.

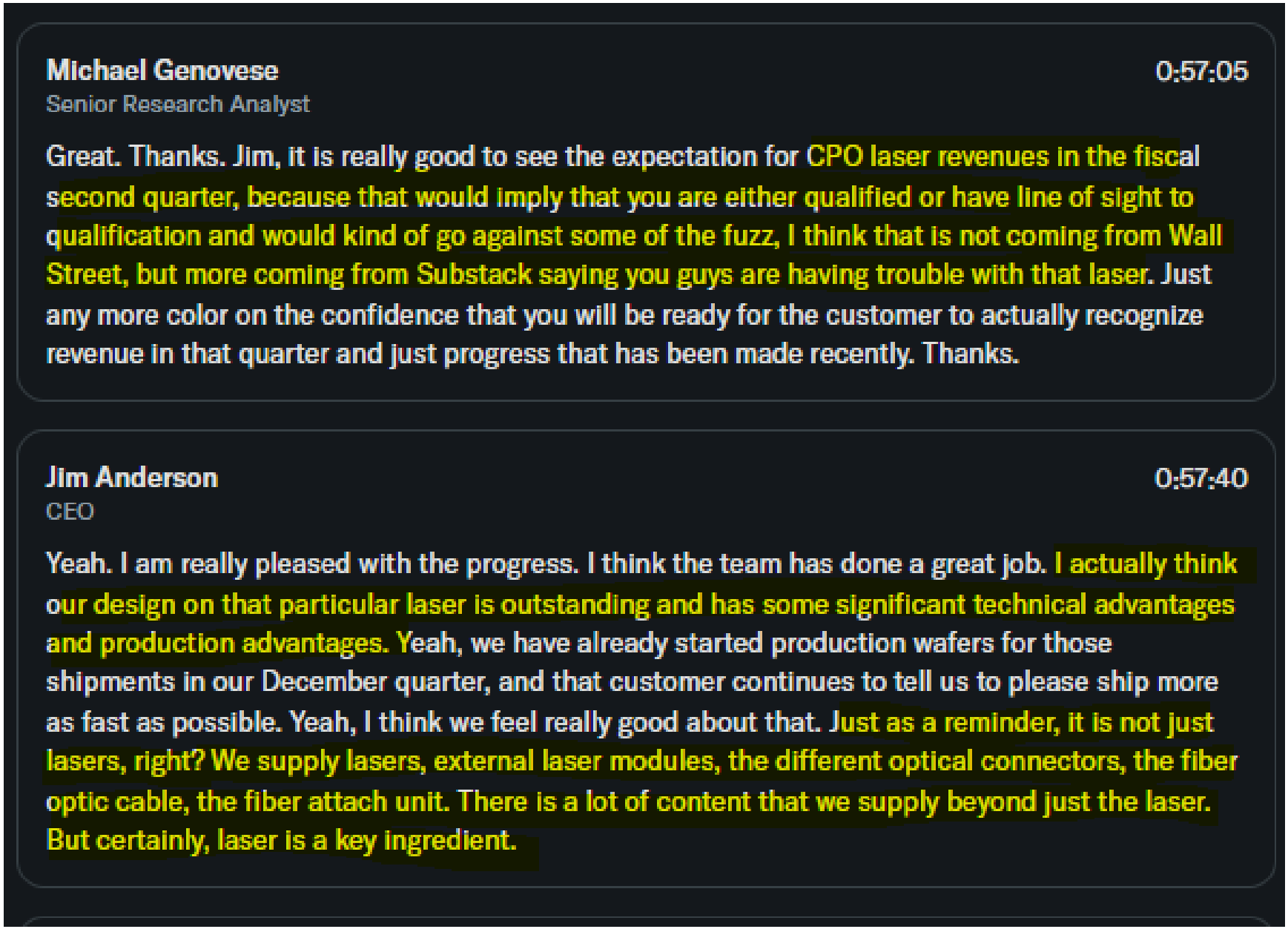
Sherri Luther 0:51:18
CFO

Thanks, Meta, for your question. So in terms of 6-inch yield, what I was mentioning, it's 6-inch cost structure. Because if you remember, we've talked about the fact that 6-inch wafers are, we get four times the amount of output from that wafer versus 3-inch, right? Four times, but it's at half the cost. So it's that cost structure that's beneficial to us. And when I talk about what's ahead of us that will help drive gross margin improvement, it's really that ramp of 6-inch indium phosphide products that will be beneficial to us because of the cost structure of 6-inch. And I think, Jim, you-

Jim Anderson 0:51:58
CEO

Yeah, I'll just reiterate what I said earlier, that when we look at yields for 6-inch, the yields for 6-inch are actually higher than our 3-inch production. Again, the benefit of the 6-inch is the cost structure benefit. Then on the second part of your question around sort of customer reaction to the recent Reuters article, I would say, yeah, there's a number of customers that have reached out to us and have engaged in a discussion around manufacturing and exploring different options around that. So yeah, I would say that has spurred some new customer demand and supply discussions, and so those discussions are ongoing.

Coherent management discussion reproduced in the August article. Company-wide product mix, cost reductions and manufacturing scale inform margins; an aggregate margin alone cannot identify one laser line yield.



Michael Genovese 0:57:05
Senior Research Analyst

Great. Thanks. Jim, it is really good to see the expectation for CPO laser revenues in the fiscal second quarter, because that would imply that you are either qualified or have line of sight to qualification and would kind of go against some of the fuzz, I think that is not coming from Wall Street, but more coming from Substack saying you guys are having trouble with that laser. Just any more color on the confidence that you will be ready for the customer to actually recognize revenue in that quarter and just progress that has been made recently. Thanks.

Jim Anderson 0:57:40
CEO

Yeah. I am really pleased with the progress. I think the team has done a great job. I actually think our design on that particular laser is outstanding and has some significant technical advantages and production advantages. Yeah, we have already started production wafers for those shipments in our December quarter, and that customer continues to tell us to please ship more as fast as possible. Yeah, I think we feel really good about that. Just as a reminder, it is not just lasers, right? We supply lasers, external laser modules, the different optical connectors, the fiber optic cable, the fiber attach unit. There is a lot of content that we supply beyond just the laser. But certainly, laser is a key ingredient.

Coherent August management commentary on customer engagement, production wafers and expected shipment timing. Dated ramp claims are counter-evidence, not independent matched-condition laser qualification results.

Selected probability and production-cost bridge

Probability: 25% for the specific adverse economic outcome below. This is the lower end of the framework's credible single-source starting band. The argument has a plausible physical mechanism and a public phase-noise trace, but lacks matched raw measurements, overgeneralizes the standard and conflicts with parts of management's manufacturing evidence. It is a subjective forecast weight, not a measured failure rate. Official confirmation is not required for this selected risk contribution.

Input	Selected assumption	Reason and boundary
Exposed revenue	5% of reference quarterly DC&C	Proxy for UHP-dependent CPO/NPO engine sales already in the aggregate. Not a disclosed product segment
Conditional shortfall	20% of that pool at full phase	Qualification/rework can prevent a portion of the planned ramp from shipping on schedule; other optical businesses remain intact
Conditional COGS	Avoid 90% of the COGS attached to missed sales; 10% stranded	Allows fixed production burden without pretending all costs disappear
Additional qualification opex	2% of the exposed reference pool at full phase	Engineering, customer support and requalification effort; original opex retained
Phase	0 Q3 2026; 50% Q4 2026; 100% CY2027; 50% H1 2028; 0 thereafter	Analyst remediation path. Later reference growth resumes without adding an unverified catch-up backlog
Incremental overlap deduction	0% for this defined operating-risk branch	No separate dollar allowance for this particular event was identified. Existing analytical risk deductions are retained without duplication
Score treatment	Artifact 80; Portfolio Excel Base 80	Manufacturing and commercialization risks already appear in the scored thesis. This bounded scenario does not justify another whole category point

The 5% allocation is an estimate of exposure, not new revenue. It equals roughly $615M of 2027 reference DC&C, close to but below the separate $649M NPO source-case diagnostic. That anonymous case remains 100% overlapped and adds zero revenue. Its 20% probability is not multiplied into this different 25% risk scenario. UHP-dependent CPO/NPO overlap is contained inside the one 5% pool.

Expected lost revenue = reference DC&C x 5% x 20% x phase x 25%. Gross-profit loss includes the lost gross profit plus stranded production costs. Additional opex = reference DC&C x 5% x 2% x phase x 25%. The existing FCC premium is removed proportionately on missed sales. This assumes the defined technical risk applies equally to the small policy-adjusted revenue pool; the unchanged 40% policy weight is not reapplied elsewhere.

Quarter	Phase	Revenue delta $M	GP delta $M	Extra opex $M	OP delta $M
Q3 2026	0%	-0.000	-0.000	0.000	-0.000
Q4 2026	50%	-2.844	-1.359	0.284	-1.644
Q1 2027	100%	-6.488	-3.148	0.649	-3.796
Q2 2027	100%	-7.288	-3.575	0.729	-4.304

Quarter	Phase	Revenue delta $M	GP delta $M	Extra opex $M	OP delta $M
Q3 2027	100%	-8.077	-4.007	0.808	-4.815
Q4 2027	100%	-8.879	-4.454	0.888	-5.342
Q1 2028	50%	-4.772	-2.416	0.477	-2.893
Q2 2028	50%	-5.105	-2.603	0.511	-3.114
Q3 2028	0%	-0.000	-0.000	0.000	-0.000
Q4 2028	0%	-0.000	-0.000	0.000	-0.000

The active Q4 2027 forward window includes **$11.349M less operating profit** from this specific risk. The resulting target is **$493.76**, using the sanctioned 20x F4Q non-GAAP operating-profit method and 211M diluted shares. No lost Coherent revenue is assigned to Lumentum or another supplier without qualified capacity and customer conversion.

The exposure estimate is the main calibration gap: 1% exposure would imply a $494.62 target; 10% would imply $492.69, holding all other selected assumptions fixed. A prolonged or much wider qualification problem would matter more than this bounded case. These are diagnostics, not competing active forecasts.

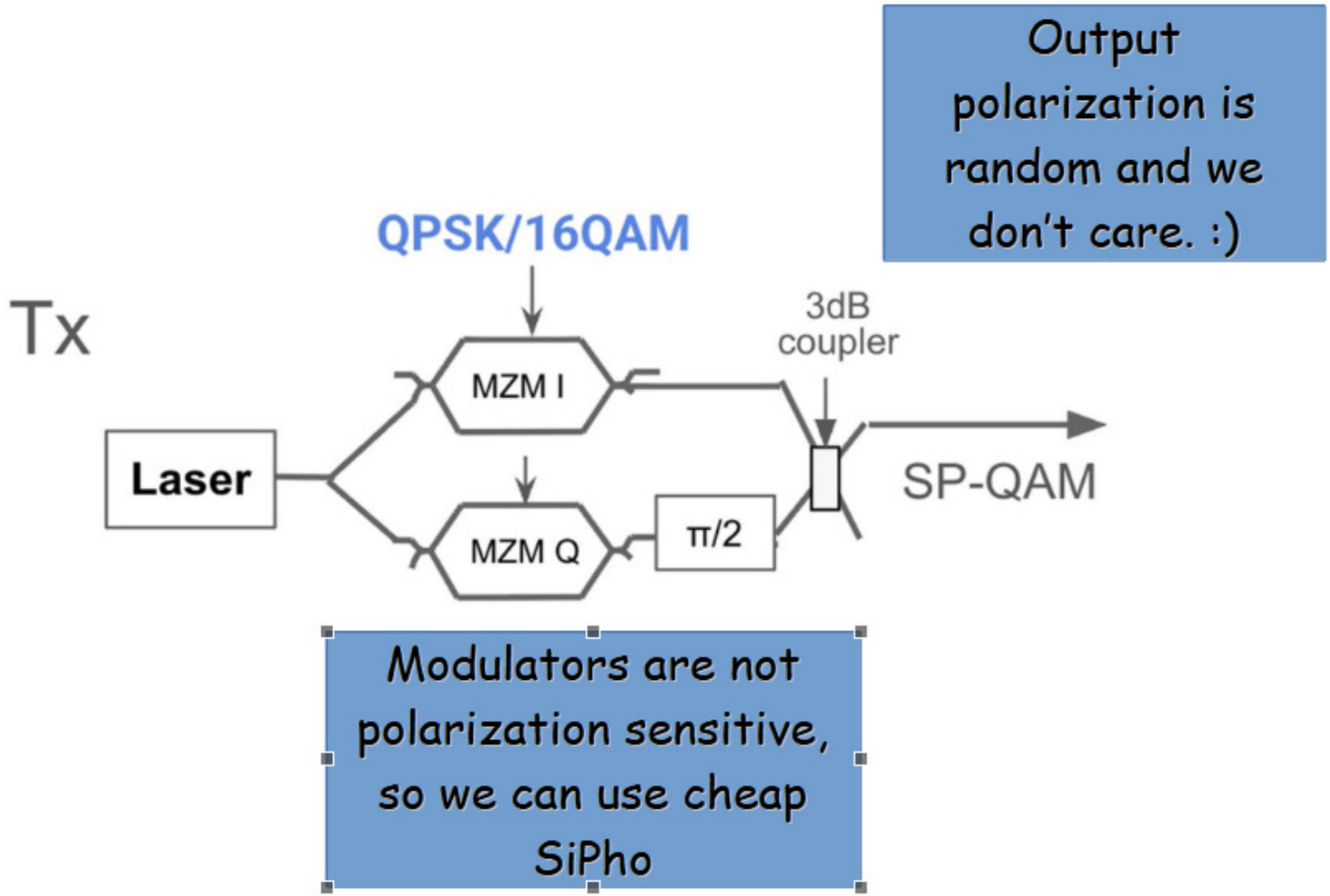
Reduce the risk weight if matched operating-point measurements, lot-level qualification, customer acceptance or December shipments support delivery. Raise it if credible customer checks identify failed specifications, rework costs, reduced allocations or a later ramp. The most useful requests are the actual customer linewidth/RIN definition, the complete noise spectrum and observation time, accepted optical power at operating temperature, production yield and the exact revenue pool exposed.

First principles: architecture decides who captures the value

The fourth supplied article, Coherent Lite Transceivers + AMD CPU Opportunity, was published **June 13, 2026**. It is technical background predating the August earnings notes and September follow-up. **Coherent-lite names a simplified coherent optical architecture; it is neither Coherent's company name nor Lumentum's ticker.** Its source models are the same author's evolving estimates, not independent confirmations of the later earnings articles.

The useful question is which functions need scarce InP, which can move to silicon photonics, and what the customer pays for a qualified optical link. Higher optical demand does not force every design to consume the same InP area, laser power or external components.

A hybrid design can reward different suppliers at once



June 13 article: author-annotated coherent-lite transmitter diagram attributed to a Google paper. The blue notes are the analyst's interpretation. Silicon photonics remains polarization-sensitive internally; this drawing does not prove every modulator is polarization-insensitive or identify a customer-selected supplier.

The article proposes a DFB laser plus a silicon-photonics transmitter, with a potentially monolithic InP receiver and separate DSP/driver/TIA functions. This is a plausible design route, explicitly presented by the author as a best guess. It is not a confirmed Google bill of materials. The transmitter can manage a known guided

polarization while the receiver handles the polarization arriving through the fiber; these are different design problems.

Polarization folding can recover received signal components in a form compatible with a simpler coherent receiver, at the expense of signal-processing requirements. Google's polarization-folding patent supports the architecture's feasibility; it does not establish deployment volume, product price or a supplier award. Nor does one architecture prove that silicon photonics must win every transmitter or InP every receiver.

There is an important counterpoint to the article's dismissal of its middle architecture. Google's OFC 2025 tutorial, page 50, describes joint transmitter/receiver folding as recovering 3 dB of link budget by using an otherwise discarded output. It trades extra structure for optical-power benefit; it is not simply an inferior design. The related February 2026 JLT paper also identifies reduced phase-noise tolerance from partial-response signaling, while its shown sensitivity simulations neglect laser phase noise. That supports studying the noise problem, not a named-vendor pass/fail verdict. The tutorial is from 2025, correcting the supplied article's OFC 2026 attribution.

For Coherent, a possible integrated receiver opportunity is a positive counterweight to concerns about one high-power laser. Its PhotonLink portfolio spans generation, shaping, routing and detection. For Lumentum, a shift to silicon modulators does not eliminate the need for a qualified light source, but different architectures can change required laser power, supplier content and scarcity intensity.

Noise requirements belong to a particular link

Coherent detection uses a local-oscillator laser and recovers phase as well as amplitude. Phase noise therefore matters directly to carrier recovery. Balanced detection can suppress common intensity noise; it does not simply cancel every phase-noise contribution. IMDD, coherent modulation and CPO/NPO packaging describe different aspects of the system and cannot be treated as interchangeable specifications.

The June article's sub-0.2 MHz linewidth discussion is coherent-system context, not a universal acceptance threshold for all 400 mW CPO/NPO lasers. The applicable modulation, receiver, DSP, optical power, temperature and measurement definition must be matched. Likewise, comparing 168 and 224 without distinguishing baud rate, bits per symbol and implementation bandwidth does not by itself certify the proposed design.

Good packaged devices matter more than wafer area

Product	100 mW CW	400 mW CW (0.5-1 MHz linewidth) *competent vendor	400 mW CW (0.5-1 MHz linewidth) *loser vendor	200G EML	Coherent lite Rx
width (mm)	0.25	0.5	0.5	0.25	2
length (mm)	1	3	5	1.5	5
area (mm^2)	0.25	1.5	2.5	0.375	10
wafer size (in)	4	4	4	4	6
dice per wafer	25888	4308	2526	17200	1513
Yield %	50	50	30	30	20
good dice	12944	2154	757.8	5160	302.6
Package yield %	50	50	50	50	80
sellable dice	6472	1077	378.9	2580	242.08
pkg cost $	500	500	500	500	1000
wafer cost $	500	500	500	500	700
process cost $	4000	4000	4000	4000	5000
COGS per dice $	0.8	4.6	13.2	1.9	27.7



June 13 illustrative InP intensity and cost model. Die dimensions, wafer maps, die yield, packaging yield and cost inputs are author assumptions. Its vendor labels are rhetorical; no named-company production data establish these yield differences.

June illustrative case	400 mW case A	400 mW case B	Coherent-lite receiver
Assumed die area	1.5 mm2	2.5 mm2	10 mm2
Assumed wafer diameter	4 inches	4 inches	6 inches
Assumed die yield	50%	30%	20%
Assumed packaging yield	50%	50%	80%
Modeled saleable devices per wafer	1,077	378.9	242.08
Modeled cost per saleable device	$4.6	$13.2	$27.7

The two laser examples illustrate roughly **2.9 times the unit cost** from combined assumed die-size and yield differences. This explains why qualification and manufacturing consistency can matter economically. It does not measure Lumentum's or Coherent's actual cost or prove a 50% universal InP yield. Six-inch versus

four-inch diameter provides 2.25 times geometric area before edge losses and yield; that is different from the fourfold area comparison between six and three inches.

The June 400 mW example assumes $500 wafer cost and approximately $4.6 total unit cost. The later August example uses $2,000 wafer cost and approximately $6 unit cost. The source assumptions changed. Neither is an audited BOM, so the two estimates must not be averaged or treated as independent support for an exact product margin.

What changes in the active investment interpretation

This background strengthens product-level analysis and the need to test saleable yield. It also supplies counter-evidence to a blanket negative view of Coherent: the author himself identifies potential receiver benefits. His Marvell, Tower, Semtech, Nokia and MACOM supplier outcomes depend on the proposed architecture and socket allocation; they are research leads, not established design wins.

No separate revenue pool is added for coherent-lite. This is an alternative implementation of optical demand already inside the forecasts, with **100% overlap assigned to that demand channel**. The source supplies no incremental unit-volume schedule or company-specific ASP/margin bridge that would establish an additional profit stream. This zero increment follows the scope and overlap analysis, not a rule requiring official confirmation. Source publication date, component content and actual incremental economics will be revisited if a dated customer ramp or more specific engineering-cost case is supplied.

Coherent's selected **25%** probability remains limited to the specified UHP-dependent pool, with explicit stranded cost and qualification expense. Integrated receiver optionality is not haircutted separately, and there is no company-wide laser-failure assumption. This article does not reverse the specific matched-operating-point questions raised by the later September laser data.

The AMD CPU appendix and dated trading-position screenshots were reviewed for completeness. They do not provide incremental evidence for either laser model and are not used in these valuations.

Analytical Base and scored conviction

Category	Score	Evidence and limit
Core Thesis	18/20	Integrated optical components and systems, scarce qualified InP and internal supply support differentiated delivery; credible alternatives remain.
Cycle Stage	9/10	AI datacenter demand and committed capacity support growth, tempered by cyclical industrial demand.
TAM Expansion	9/10	Datacenter optics, NPO/CPO and the PhotonLink opportunity expand applications; overlapping wallets are not added twice.
Catalysts	5/5	Dated manufacturing ramps, customer deployments and product commercialization provide identifiable milestones.
Macro	9/10	AI connectivity intensity and supply diversification support investment; geopolitical sourcing remains uncertain.
Alpha	2/5	Vector, capacity and margin decomposition provide analytical insight in a widely followed company.
Risks	-4	Four distinct classes: industrial demand; manufacturing/yield/capacity execution; commercialization/timing; margin and operating-leverage sustainability.
Total	48/60 = 80/100	High Conviction; price-independent analytical thesis score

Artifact analytical Base: 80/100. Portfolio Excel Base: 80/100. The portfolio and artifact both use the current analytical score.

Integration, internal InP supply and optical demand support the displayed quality score. Contract repricing limits the incremental policy economics, and manufacturing, commercialization and margin execution remain material. The category ledger is explicitly documented here; no additional score point is assigned merely for the modeled premium.

Base measures thesis quality. The 40% policy probability weights only the incremental operating economics, once; neither Base nor the policy weight is applied again to the final price target. Scores use integer category points on the /60 framework lattice.

Policy breadcrumb and economic hypothesis

Serenity's October 1 post attributes Washington meetings to Morgan Stanley and reports a possible 3.2T-focused restriction, with a potential 65% U.S.-value route for Chinese modules. The source expects laser pricing to matter more than broad module-share redistribution. Treat this as an attributed policy scenario; the original MS note and final FCC language establishing these exact terms were not recovered. The separate September 25 Senate proposal concerns sensitive federal systems and a five-year transition. It is not confirmation of these FCC terms.

Serenity policy post | Foundry follow-up | Separate Senate proposal

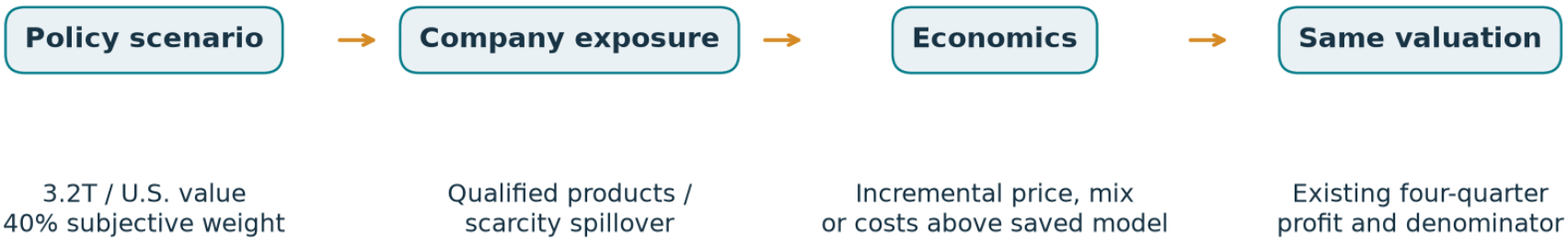


Figure 2. Analytical transmission of the attributed policy scenario. This is a model diagram, not an official regulatory diagram or customer award.

Assigned common policy-scenario probability: 40%. Subjective initial weight above the single-source 25-35% band because Serenity has the owner's highest weighting and attributes Washington meetings to Morgan Stanley. The exact future rule, timing and economic effect remain uncertain. Serenity and Morgan Stanley are one source chain, not two independent confirmations.

Only 20% of DC&C is treated as relevant qualified module exposure and only 25% of that as new or repricable contracts. Preserve fixed LTAs and the modeled near-term internal transceiver allocation. No additional external merchant-laser revenue.

Eligible fractions are bounded scenario assumptions, not origin certificates. U.S. corporate domicile and a U.S. listing do not prove manufacturing origin. If the final content definition excludes the modeled products, their eligible fraction goes to zero.

For component and integrated suppliers, the filtered revenue pool means 3.2T-linked sales plus incremental cross-generation pricing spillover from competition for common qualified capacity. It is not a claim that 800G/1.6T is directly regulated. Fractions are LOW-confidence exposure proxies, not verified geographic market shares.

Signal ledger field	Current treatment
Signal ID / date	FCC-OPTICS-20261001; Serenity/MS source chain
What is already included	All saved product growth, shortages, capacity, customer probabilities and contracts. The bridge adds only the explicitly calculated incremental economics.
Probability and timing	40% common policy scenario; price/cost intensity 0 before Q3 2027, 25% Q3 2027, 50% Q4 2027, 75% Q1 2028, 100% from Q2 2028. AAOI mix uses its own slot ramp.

Signal ledger field	Current treatment
Numerical contribution	Q4 2027 operating quarter: delta revenue 1.775000, delta consolidated OP 1.597500 (USD millions). The gross policy contribution before the UHP interaction is 11.737125M F4Q OP; the current net policy sensitivity is reported with the full model.
Dependence	The policy probability is shared across companies. These are correlated portfolio exposures, not independent confirmations. Existing customer-conversion probabilities are already inside source revenue.
Raise weight	Rule/proposal scope supports qualifying content and timing; company product/foundry evidence improves; customer sourcing or like-for-like price negotiations support the incremental premium.
Reduce weight	Policy is delayed beyond the horizon, the content definition excludes products, supply eases, fixed contracts prevent repricing, unit costs absorb the premium, or 3.2T conversion slips.
Zero-contribution boundary	No broad TAM uplift, no new factory capacity, no OCS benefit and no blanket-ban recovery. AAOI receives no modeled units before 2028. MXL is assessed separately as a candidate.

Conditional inputs selected before calculating targets

Input	Value	Evidence status
Relevant qualifying exposure	20.00%	LOW-confidence analyst assumption; inherited cap where labeled
New / repricable contracts	25.00%	LOW-confidence analyst assumption; inherited cap where labeled
Conditional incremental price premium	5.00%	LOW-confidence analyst assumption; inherited cap where labeled
Incremental COGS / price revenue	5.00%	LOW-confidence analyst assumption; inherited cap where labeled
Incremental opex / incremental revenue	5.00%	LOW-confidence analyst assumption; inherited cap where labeled

Incremental COGS and opex rates apply to incremental price revenue, not original product revenue or COGS. AAOI mix cost uses unit COGS separately. AXTI stranded COGS is a fraction of COGS attached to lost units. Chinese component-cost rates apply to affected reference COGS.

Timing is an analyst sensitivity. A deliberately labeled early-sourcing proxy ahead of a 2028 3.2T ramp. Earlier quarters receive zero incremental policy revenue. Full intensity begins Q2 2028 and remains an uncertain continuation through the saved forecast only. These dates are not announced orders or a published regulatory timetable. The probability sensitivity below includes a no-policy control; a later start would reduce the near-term contribution.

Policy contribution before the engineering-risk interaction

The following policy-only amounts show the existing 40% repricing bridge before the proportional UHP shipment-risk adjustment. The complete active model and policy sensitivity below recalculate that interaction. These policy figures are not added a second time.

Revenue, cost and profit

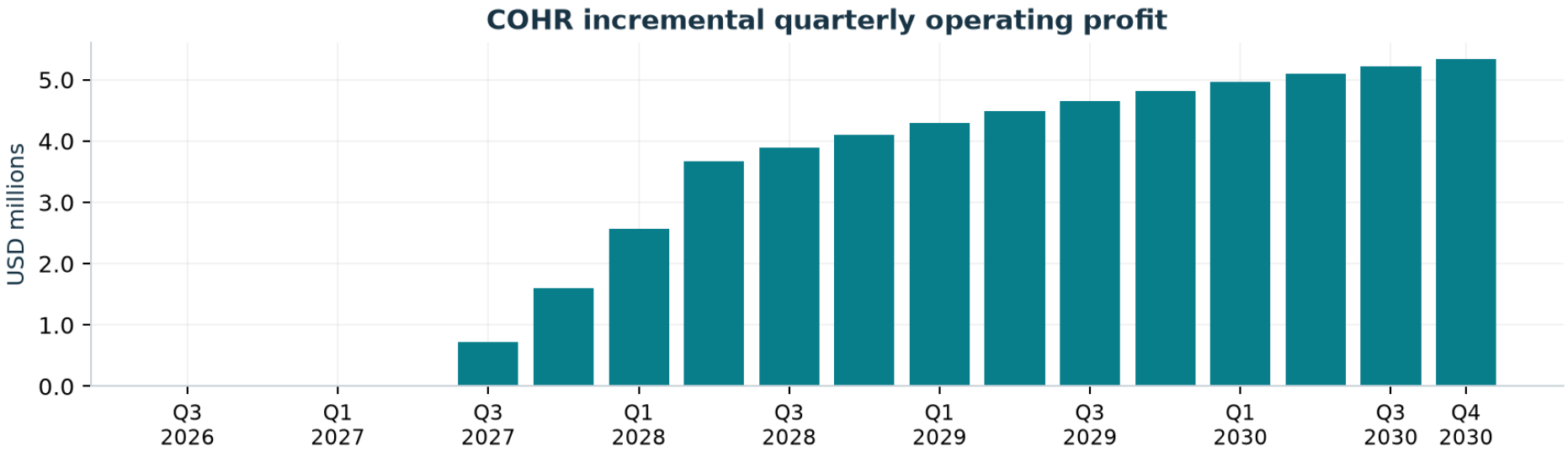


Figure 3. Incremental consolidated operating profit, USD millions. The positive bars show the selected weighted policy-price contribution; baseline operations are unchanged.

Quarter	Delta revenue	Delta COGS	Delta gross profit	Delta opex	Delta OP
Q3 2026	0.0000	0.0000	0.0000	0.0000	0.0000
Q4 2026	0.0000	0.0000	0.0000	0.0000	0.0000
Q1 2027	0.0000	0.0000	0.0000	0.0000	0.0000
Q2 2027	0.0000	0.0000	0.0000	0.0000	0.0000
Q3 2027	0.8075	0.0404	0.7671	0.0404	0.7268
Q4 2027	1.7750	0.0887	1.6863	0.0888	1.5975
Q1 2028	2.8613	0.1431	2.7182	0.1431	2.5751
Q2 2028	4.0800	0.2040	3.8760	0.2040	3.6720

Quarter	Delta revenue	Delta COGS	Delta gross profit	Delta opex	Delta OP
Q3 2028	4.3250	0.2163	4.1087	0.2163	3.8925
Q4 2028	4.5550	0.2278	4.3273	0.2278	4.0995
Q1 2029	4.7700	0.2385	4.5315	0.2385	4.2930
Q2 2029	4.9800	0.2490	4.7310	0.2490	4.4820
Q3 2029	5.1700	0.2585	4.9115	0.2585	4.6530
Q4 2029	5.3500	0.2675	5.0825	0.2675	4.8150
Q1 2030	5.5100	0.2755	5.2345	0.2755	4.9590
Q2 2030	5.6600	0.2830	5.3770	0.2830	5.0940
Q3 2030	5.7950	0.2898	5.5053	0.2898	5.2155
Q4 2030	5.9250	0.2963	5.6288	0.2963	5.3325

Active-window product bridge

Product / event	Pre-policy operating pool	Filtered exposure	Weighted delta revenue	Weighted delta OP
Datacenter and Communications	3,550.0000	177.5000	1.7750	1.5975

Filtered exposure is a scenario allocation, not verified U.S.-origin revenue. For cost cases the exposure is an affected cost pool; AAOI substitution units are explained in its separate bridge. All financial amounts use the company table units.

October 3 NPO breadcrumb: size the case inside DC&C

The attributed NPO volume/ASP case receives a **20% subjective probability** and **100% overlap** with the reference Datacenter & Communications forecast. It contributes no incremental revenue or profit. The separate UHP qualification-risk branch affects the active operating model as detailed above. This overlap assessment does not require official confirmation.

Original source, scope and timing

The following user-supplied Q&A crop was reviewed on **October 3, 2026**. Its original author, interview date and complete report are not visible. It is an attributed expert-style estimate, **not Coherent guidance**. Its scope is near-packaged **NPO optical engines excluding DSP**, with factory-gate ASPs per engine. Whole pluggable transceiver prices, laser-chip prices and complete PhotonLink platform invoices are different measures.

A: NPO is segmented by 1.6T, 3.2T and 6.4T. Statistics only count near-packaged NPO optical engines, excluding DSP, covering optoelectronic conversion components only. ASP refers to factory-gate price per optical engine. 2026 is dominated by sampling and small-scale testing. Volume ramp begins in H1 2027, with full ramp and mass scaling in H2 2027. 2027 is regarded as the inaugural year for NPO, albeit limited shipments will occur in 2026.

In 2026, global 1.6T NPO demand is roughly 280,000 sets; Coherent's volume stands at 32,000–33,000 sets at $800–$820 ASP. Global 3.2T NPO demand is around 80,000 sets; estimates are less reliable given low industry-wide volumes. Coherent ships just above 6,000 and below 7,000 sets with average ASP ~$1,150 and high price volatility. Global 6.4T demand is roughly estimated at nearly 20,000 sets; Coherent ships close to 2,000 sets at ASP ~$1,900.

In 2027, global 1.6T NPO demand is about 1.6 million sets. As the product is in early ramp with clear demand, capacity can be treated as achievable demand. Coherent targets 220,000–230,000 sets, subject to full utilization of production lines: up to 230,000 at full capacity or ~220,000 if lines are not fully loaded. ASP ranges from $700–$710, likely slightly above $700. Global 3.2T NPO demand is 2.1 million sets; Coherent targets 380,000–400,000 sets with ASP expected below $1,000. Global 6.4T demand is 450,000 sets; Coherent's target is 80,000 sets, though full target fulfillment is not guaranteed, with a realistic range of 70,000–80,000 sets and ASP ~$1,600.

Original user-supplied NPO Q&A crop, reviewed October 3, 2026. Author/date unresolved. Optical engines exclude DSP; source estimates, not issuer guidance.

The crop places samples and small tests in 2026, a volume ramp in the first half of 2027 and full scaling in the second half. Coherent's September 21 PhotonLink release independently supports more than ten NPO engagements, more than ten CPO engagements, anchor long-term agreements and a Q4 calendar-2026 revenue ramp. It does **not** verify the crop's unit counts, market shares, ASPs or engine gross margins.

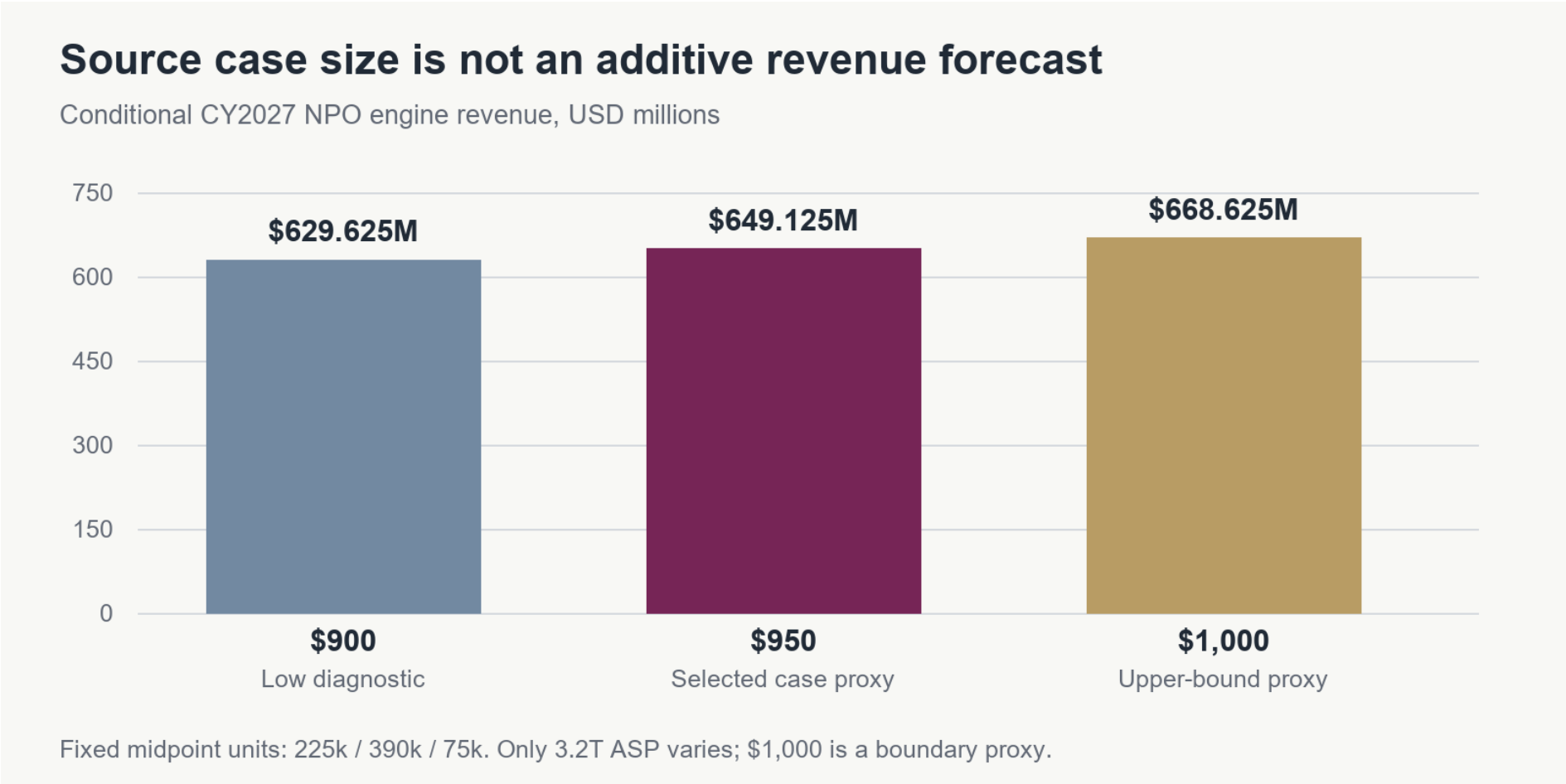
Product	Global 2027 units	Coherent 2027 units	Crop's factory-gate ASP	Derived Coherent revenue, USD M
1.6T NPO engine	About 1,600,000	220,000-230,000	$700-$710	$154.000-$163.300
3.2T NPO engine	About 2,100,000	380,000-400,000	Below $1,000; no lower bound supplied	No closed two-sided range can be derived
6.4T NPO engine	About 450,000	70,000-80,000; 80,000 target not guaranteed	About $1,600	About $112.000-$128.000
Total	About 4,150,000	670,000-710,000	Product-specific	Upper endpoint below $691.300M using maximum units/ASPs

The 6.4T ASP is itself approximate, so the $691.300M figure is a mechanical upper-end calculation using $1,600 as its proxy, not a hard contractual cap. In the crop's 2026 sampling case, global volumes are about 280,000 / 80,000 / nearly 20,000 across the three speeds; Coherent is 32,000-33,000 / just above 6,000 and below 7,000 / close to 2,000. Quoted ASPs are $800-$820 / about $1,150 / about $1,900. The source flags low-volume uncertainty and 3.2T price volatility. These are source context, not new selected quarterly forecasts.

Bounded revenue proxy and probability

To evaluate the attributed 2027 case, use the unit midpoints **225,000 / 390,000 / 75,000**, the 1.6T ASP midpoint **$705**, the source's approximate 6.4T ASP **$1,600**, and an explicitly analyst-selected **$950 3.2T ASP**. The crop does not provide $950. The resulting conditional engine revenue is **$649.125M**, before costs and before overlap. The **20% weight applies to this specific attributed volume/ASP case**, not to all NPO adoption, the entire PhotonLink business, or Coherent's saved revenue.

The 20% probability is below the framework's usual starting band for a clearly identified credible single source because this crop's identity and date are unresolved and the exact engine mix, production scope and economics cannot be independently matched. This is a labeled subjective assessment, not a statistical frequency or a claim that the source is false.



NPO case sensitivity to the assumed 3.2T engine ASP. Conditional, before costs and overlap; none of these totals is an additive forecast.

3.2T ASP proxy	1.6T revenue, USD M	3.2T revenue, USD M	6.4T revenue, USD M	Conditional total, USD M
$900 diagnostic	158.625	351.000	120.000	629.625
$950 selected case proxy	158.625	370.500	120.000	649.125
$1,000 upper-bound proxy	158.625	390.000	120.000	668.625

The $1,000 row deliberately tests the boundary. The source says **below** $1,000; this row is not its forecast. All three rows hold midpoint units fixed, while the earlier table separately preserves the source's capacity ranges.

Reconcile the case to revenue already modeled

Before the separately specified UHP risk branch, reference CY2027 DC&C revenue is **$12,292.5825M**, rising to **$16,790.82125M in CY2028**. The $649.125M case is **5.2806%** of the saved 2027 DC&C total. The model already starts PhotonLink/NPO in the December 2026 quarter, includes several optical growth engines, exceeds management's greater-than-$3B quarterly revenue goal by Q2 2027 with **$3,340M before the UHP risk branch**, and retains internal InP supply constraints. Adding the complete NPO figure on top would risk counting the same engine/component sales twice or ignoring displacement of other InP products.

The NPO reference allocation was not separately sized. We do not know that exactly $649.125M was already inside DC&C. The selected **100% overlap** means that, for this event, the entire case is presently treated as a possible subset of the existing aggregate, rather than an independently additive pool. This explicitly subjective allocation avoids inventing a known baseline dollar amount.

Probability and overlap ledger	Current treatment
Attributed 2027 volume/ASP case probability	20%, subjective; specific source case only
Conditional source-case revenue	$649.125M, using the labeled $950 3.2T ASP proxy
Reference CY2027 DC&C before UHP risk	$12,292.5825M; NPO component not separately allocated
Selected overlap for this event	100%, subjective assessment supported by the already aggressive integrated ramp
Active revenue contribution	20% x $649.125M x (1 - 100%) = $0.000M
Extra units / COGS / opex / OP from NPO sizing alone	None; separate engineering risk is modeled above
Unselected 50% overlap diagnostic	20% x $649.125M x (1 - 50%) = $64.9125M revenue; no valuation assigned
Current Q4 2027 price target	$493.762846/share; Q4 2027 through Q3 2028; includes engineering risk
Analytical / Portfolio Excel Base	80 / 80; unchanged

The unselected $64.9125M diagnostic is not profit and is not included in any forecast, cash flow or target. It would require a deliverable capacity and cost bridge before selection. Before the UHP risk branch, the reference 2027 DC&C non-GAAP gross-margin path is **42.8% to 44.6252%**; quarterly dollar opex is **$493M / $531M / $565.040375M / $601.08875M**. Neither those aggregate margins nor the FCC scenario's 95% gross-profit conversion on incremental *price* revenue establishes the margin on extra physical NPO engines.

What can change this assessment

Reassess probability and overlap when evidence, including credible channel checks, clarifies the reference NPO allocation, customer programs, qualified capacity and achievable engine shipments; engine BOM and yields excluding DSP; purchased versus internally made laser content; engineering/support costs; displacement of existing pluggables or other InP products; and 2028 timing. No official-confirmation gate applies. A 2027 annual revenue case alone cannot populate the active Q4 2027-to-Q3 2028 valuation window without a labeled quarterly and 2028 bridge.

The method remains **20x forward-four-quarter non-GAAP operating profit**. This case receives no extra Base points, no new merchant-laser revenue and no change to the existing FCC probability or repricing pool. A PhotonLink platform invoice replaces its component invoices in the reconciliation; it is never added on top of the same underlying products.

Business research and source evidence

The following sets out the company thesis, historical results, guidance, capacity, program probabilities, risks and original source images. Source dates remain visible. Operating assumptions below feed the complete current financial tables, including the explicit probability-weighted policy contribution.

Research incorporated: PhotonLink launch and program breadth, plus the October 3 attributed NPO engine volume/ASP case. The explicit 20% case probability and subjective 100% overlap retain the already modeled Q4 2026 ramp without adding a second platform revenue layer.

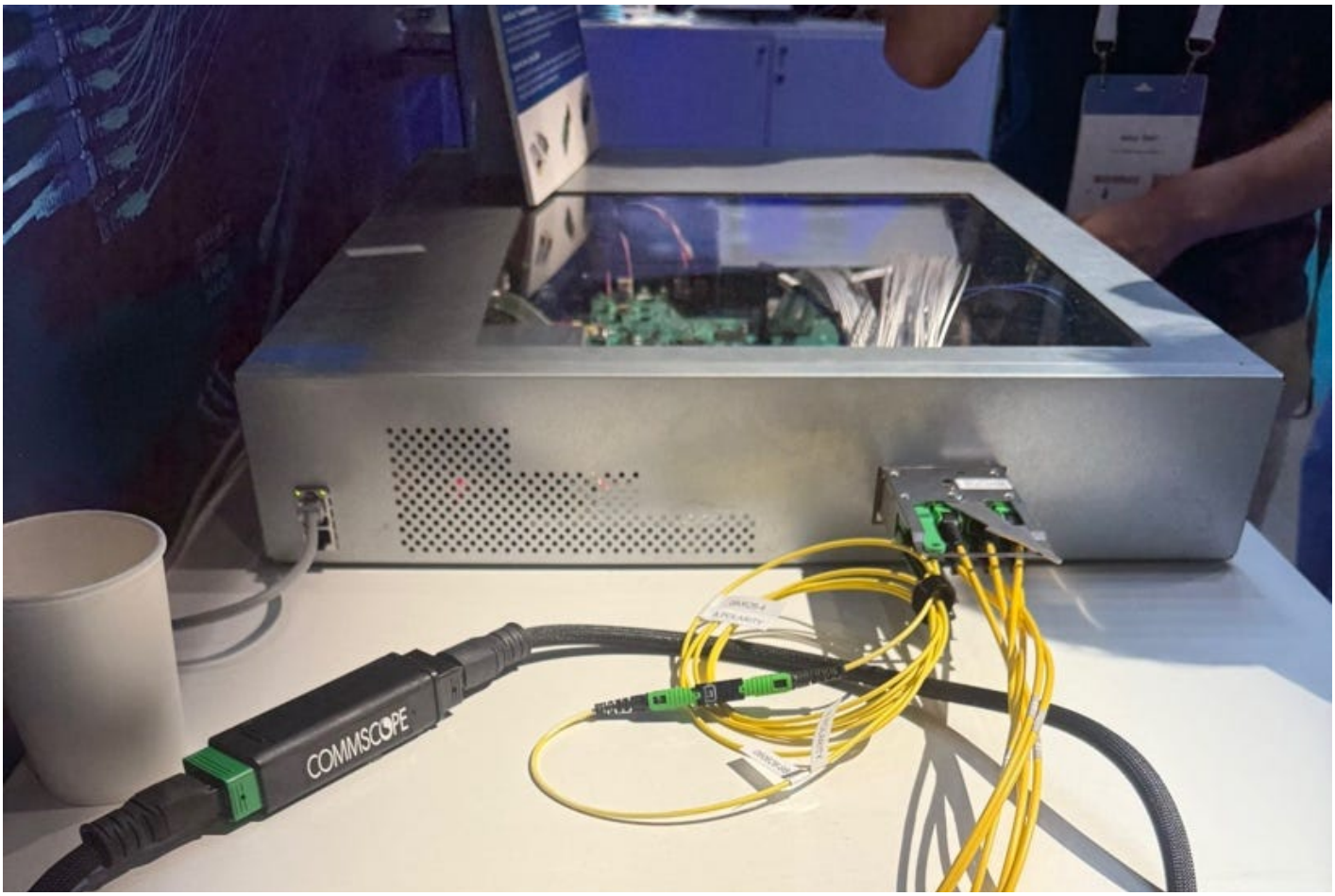
PhotonLink has launched; qualification breadth is now explicit

Coherent's September 21 primary release verifies PhotonLink's launch, more than ten CPO engagements, more than ten NPO engagements, more than five chip-to-chip engagements, anchor long-term agreements, and a Q4 calendar-2026 production ramp. This replaces the artifact's future-tense launch wording. The existing model already begins the December-quarter ramp; the same milestone is not incremental revenue a second time.

The supplied September 23 Futurum article attributes a $90B 2030 company TAM, versus $60B previously, including $30B integrated optics, versus $15B. It also discusses up to $15,000 of content per 100Tbps for a full solution. These are attributed secondary-source figures, not primary-verified product ASPs or Coherent revenue guidance. They are a different scope from global optical-module TAM. A complete PhotonLink invoice must replace its constituent component invoices in a revenue bridge, not sit on top of them.

Bundling expands possible content, while architectures change capture

GaAs/VCSEL offers Coherent another route to optical scale-up where reach and thermal conditions permit it. Integrated engines can compete with external light sources in some deployments; they also create packaging and thermal requirements. A broad portfolio is an advantage, but bundled content requires customer acceptance and may compress component pricing.



Public ECOC figure 5: liquid-cooled optical module illustration. It shows physical integration complexity; it does not establish Coherent orders, ASP or margins. Original exhibit, panel 1 of 2; read from top to bottom.



Public ECOC figure 5: liquid-cooled optical module illustration. It shows physical integration complexity; it does not establish Coherent orders, ASP or margins. Original exhibit, panel 2 of 2; read from top to bottom.

Source: FUNDA free ECOC excerpt. Earliest microLED CPO production in 2H2028 and a $848M 2030 subset do not warrant a blanket near-term InP revenue haircut. Scale-out, rack scale-up and package-scale links have different adoption paths.

Analytical Base: 80; Portfolio Excel Base: 80. Launch confirmation improves the evidence record, but the reference model already prices the ramp and substantial margin expansion. A separate platform increment requires a probabilistic bridge in which delivered capacity × content × awarded share can be reconciled to DC&C.

Reassessment signposts: credible evidence of PhotonLink product mix, partner versus owned content, qualified volumes and incremental gross profit, including channel checks before recognized sales; test the current subjective overlap with DC&C. Contract pricing and minimum-demand commitments should be documented on Coherent's own terms. Do not infer identical price floors/caps across every memory supplier.

Business and operating evidence

The sections below preserve the original earnings calibration, vector build, cost and share assumptions, risks and sources, with the evidence corrections described above. No new earnings period is implied by the evidence-review date.

Date: 2026-08-12 | FQ4 FY2026 anchor (reported 2026-08-12), re-anchored to the earnings call **Framework:** 8.0 probabilistic evidence and visual refresh; existing financial method retained. **Status:** NOT HELD | ⚡ BOTTLENECK - vertically integrated InP, the only Western supplier scaling 6-inch **Portfolio Excel Base: 80/100**, matching the analytical Base. **Multiple:** 20× forward-four-quarter non-GAAP operating profit **Diluted shares:** 204M at Q3 2026 rising to 223M **Model tab:** COHR_Q_Model

Calendar mapping: fiscal year ends 30 June. **FQ4 FY2026 = calendar Q2 2026. FQ1 FY2027 = calendar Q3 2026.**

1. The quarter

Metric	Value	Movement
Revenue	**$2,046M**	+42% YoY pro forma
Non-GAAP gross profit	**$823M**, 40.2%	+215bp
R&D / SG&A	$208M / $169M	opex $377M
Non-GAAP operating income	**$446M**, **21.8%**	from 18.0% a year ago
Diluted EPS	**$1.74**	+74%
Diluted shares	202.2M	Series B preferred fully converted

Segment revenue, five quarters

$M	FQ4 FY25	FQ1 FY26	FQ2 FY26	FQ3 FY26	FQ4 FY26	YoY
Datacenter & Communications	1,018	1,090	1,208	1,362	**1,615**	**+59%**
Industrial	511	491	478	444	**431**	declining every quarter

Communications within DC&C grew **56% year over year**.

2. Guidance and the selected high-end assumption

FQ1 FY2027 guidance is revenue **$2.2-2.4B**, non-GAAP gross margin **39.5-41.5%**, opex **$400-420M**, tax approximately 20% and diluted EPS **$1.85-2.05**. Management's datacenter growth comment has a narrower product scope than the combined Datacenter & Communications segment. The prior $1,090M is combined DC&C, so it cannot establish a $1,962M datacenter floor. Our $2,390M revenue forecast is an analyst choice near the high end, not a mathematical consequence of that comment.

Issuer earnings slides, segment table on slide 5 and August 12 call transcript.

Measure	Model	Guidance comparison
Revenue	$2,390M	Inside $2,200-2,400M; analyst high-end selection
Combined DC&C	$1,970M	Analyst allocation; not verified by the narrower datacenter growth comment
Industrial	$420M	Analyst allocation; absolute history includes business divestitures
Blended non-GAAP GM	40.08%	Inside 39.5-41.5%
Opex	$415M	Inside $400-420M
Rough EPS proxy	About $2.09	Above $1.85-2.05; not a full forward net-income forecast

The EPS proxy uses the previous quarter's approximately 0.787 net-income-to-operating-profit ratio and 204M shares. It does not establish inconsistent company guidance. The operating-profit method remains the valuation basis. Absolute Industrial declines must also be distinguished from organic performance: management describes roughly flat pro-forma Industrial results after adjusting for divestitures.

3. Five growth engines with published dated revenue starts

Engine	Revenue starts	Detail from the call
Optical Circuit Switch	now	>$4B TAM, management says possibly **conservative**; no revenue figure given
CPO / NPO	H2 2026	demand **very strong**; production wafers for December shipments **already running**; the customer keeps asking for more; **almost every major customer engaged**
PhotonLink	**December quarter**	full integrated optics platform: light generation → transmission → detection. **Launched September 21, 2026**
Multi-rail	H1 CY2027	**already sampled to multiple customers**
Thermal solutions	H2 2027	

The supplied PhotonLink article attributes a **$90B 2030 company TAM**, including **$30B integrated optics**. These attributed figures supersede the old sizing description; they are not recognized sales and are not added to global module TAM. Primary confirmation of detailed sizing remains outstanding.

PhotonLink and NPO are reconciled inside DC&C

It sits **inside** Datacenter & Communications. The October 3 NPO reconciliation above now explicitly sizes a probabilistic engine case using the attributed volumes and a labeled ASP proxy; undisclosed information is not excluded from modeling. Its 20% source-case probability and subjective 100% overlap produce no active increment. The overlap assumption is not a verified existing NPO revenue amount. A platform spanning generation, transmission and detection overlaps products already booked inside DC&C, so any later company-specific increment must reconcile component and integrated invoices, qualified supply, displaced products and costs. Credible new evidence can change the probability or overlap before official results.

4. The backlog, and an LTA structure that matters beyond Coherent

Fiscal 2027 is essentially fully booked. **Purchase orders run through calendar 2027 and are now entering 2028.** Long-term agreements run to the **end of the decade and carry both pricing and minimum demand commitments**.

Coherent describes pricing and minimum-demand commitments. Exact price bands and renegotiation terms must be established contract by contract; do not infer the same floors/caps across Coherent, SanDisk, SK hynix and Micron.

Management targets **quarterly revenue exceeding $3B by the end of fiscal 2027**, which is calendar Q2 2027. The current risk-weighted model carries **$3,332.7125M** there.

5. InP capacity and product allocation

Asked whether any InP output goes to third parties, management said that given datacenter transceiver demand there is **no time in the near future** when Coherent would sell indium phosphide lasers externally.

That answer describes the disclosed near-term manufacturing allocation serving Coherent's own transceiver demand. It is not a permanent exclusion of external UHP lasers or ELS offerings. Keep the product and timing scope narrow: internal expansion does not automatically provide merchant buyers with qualified UHP supply,

while PhotonLink and external laser products remain competitive considerations.

Progress is **ahead of plan**:

- **80% more InP lasers produced year over year** last quarter, and those lasers feed this quarter's transceivers
- **InP output doubles this quarter - a quarter early** against the previous year-end target
- More than doubles again by the end of 2027
- 6-inch already yields **better than 3-inch across EML, CW and photodiodes**

Management was explicit that **the bottleneck is InP and not assembly and test capacity**, and that its own transceiver demand is consuming every laser it can make.

6. The 42% gross margin target, and the model running through it

Management holds a **42% gross margin target** and said on the call that **once they exceed it they will raise it**.

The current model crosses 42% in **calendar Q2 2027** and reaches 46.466% by Q4 2030. **Disclosed under AH-15.5:** the price target prices margins beyond management's target. Holding gross margin at no more than 42%, with the same modeled revenue, opex, shares and multiple, gives a **Q4 2027 price target of USD454.26** as a separate sensitivity; it is not the selected model.

Margins

Margins **rise and plateau** rather than peaking and fading. The inherited margin expansion reflects mix into the new growth engines and operating leverage as Coherent adds internal InP supply. The separately identified FCC case adds its bounded price premium; NPO sizing adds no separate sales. The UHP qualification branch deducts the expected shipment, stranded-cost and engineering impact. Opex falls from 17.4% of revenue to 13.3%.

Calibration

	Model	Disclosed
Revenue	$2,046M	$2,046M
Datacenter & Communications	$1,615M	$1,615M
Industrial	$431M	$431M
Non-GAAP gross profit	$822.4M	$823M
Blended gross margin	40.19%	40.2%
Non-GAAP opex	$377M	$377M
Non-GAAP operating income	**$445.4M**	**$446M**

Confidence

Segment revenue, the full opex stack, gross profit, operating income and the share count are **all disclosed** for the anchor quarter. The two per-segment gross margins are **modelled**, constrained to reproduce the disclosed 40.2% blend. Forward revenue and margins are modelled, constrained to the guided quarter, the call statements and the published growth-engine start dates.

9. Key risks

Risk	Kill switch
Industrial has declined in absolute terms for four consecutive quarters at 21% of revenue	Industrial below $400M in any quarter
The margin trend is the model's spine and has never stalled	Two consecutive quarters without operating-margin expansion
The 42% gross margin target may bind as a cap rather than being raised	Blended gross margin flat for two quarters at 42-43%
InP capacity and product allocation constrain the ramp; the disclosed near-term expansion primarily supplies Coherent transceivers	InP output missing the doubling target at the FQ2 FY2027 print
Five growth engines all starting inside the ladder, none yet material	CPO, PhotonLink or multi-rail revenue absent from the FQ2 FY2027 disclosure

10. Cross-book

- **LITE.** Competes in optical components and systems. Coherent's near-term internal InP allocation and its UHP/ELS/PhotonLink product strategy must be distinguished. Six-inch geometric area, usable die yield and qualified high-power output are different competitive measures.
- **AXTI, IQE.L.** Coherent's higher InP output supports substrate and epitaxy demand, subject to supplier qualification, material efficiency and customer allocation.
- **SIVE.ST, MTSI.** Product allocation, external sales strategy and qualified foundry capacity determine the available merchant CW pool; issuer domicile or wafer area alone does not establish deliverable capacity.
- **The memory complex.** Multi-year agreements can improve visibility, but each company has different pricing, volume, floor/cap and deposit terms.
- **CIEN, NOK.** Multi-rail sampled to multiple customers with H1 CY2027 revenue is a direct transport-layer competitive event.
- **NVDA.** The NVIDIA-partnered Sherman, Texas groundbreaking is a named relationship rather than a supply-chain inference.

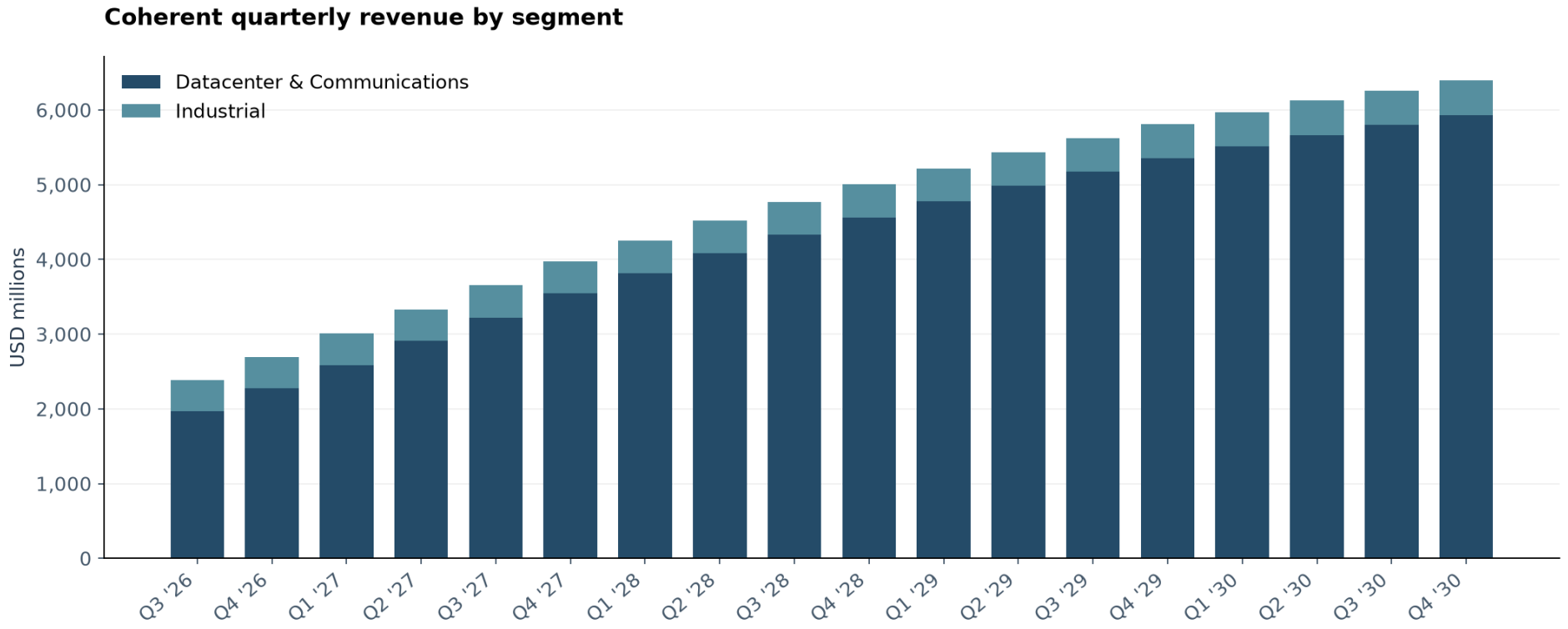
11. Position and sources

Not held at the original artifact calibration. Portfolio ranking and current-price returns belong in the workbook. The thesis remains execution of the optical ramp and margin mix, tested against qualified capacity and customer shipments.

Primary update: PhotonLink launch. Secondary sizing: September 23 Futurum article supplied by the user. Existing earnings calibration is retained; the current engineering review updates the bounded qualification-risk input while retaining the earnings anchor.

Complete current operating model

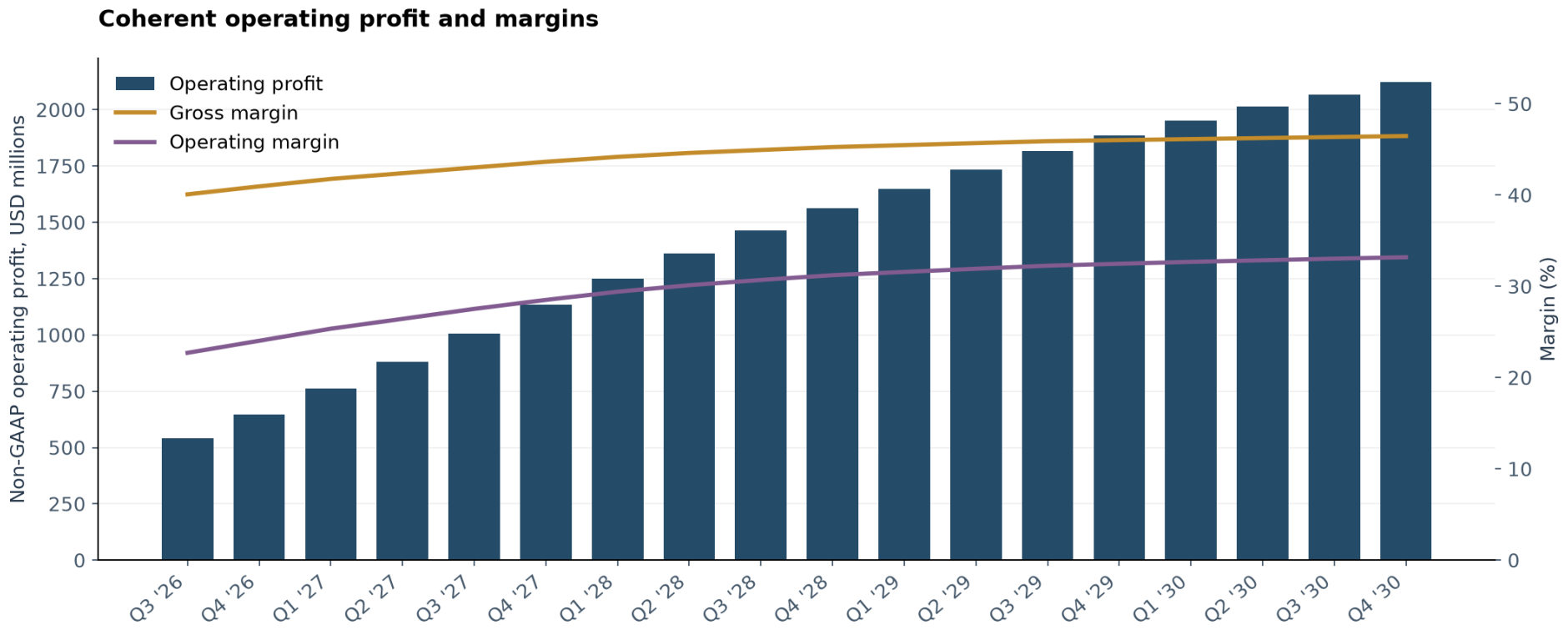
All amounts are USD millions unless indicated. The 18 operating quarters below include the selected 25% engineering-risk branch and the existing 40% FCC case once. The risk applies only to the approved 5% DC&C exposure proxy; Industrial revenue and margins are unchanged. Forward product allocations, margins, probabilities and timing remain analyst assumptions, not new company guidance.



Current Coherent segment revenue, USD millions. DC&C includes the selected engineering-risk branch; the Industrial path is unchanged.

Quarter	Revenue	Gross profit	COGS
Q3 2026	2,390.000	957.930	1,432.070
Q4 2026	2,697.156	1,104.591	1,592.566
Q1 2027	3,008.512	1,256.612	1,751.900
Q2 2027	3,332.713	1,412.835	1,919.878
Q3 2027	3,652.730	1,571.470	2,081.260

Quarter	Revenue	Gross profit	COGS
Q4 2027	3,977.896	1,736.262	2,241.633
Q1 2028	4,248.089	1,877.032	2,371.057
Q2 2028	4,518.975	2,016.073	2,502.902
Q3 2028	4,769.325	2,143.359	2,625.966
Q4 2028	5,004.555	2,264.827	2,739.728
Q1 2029	5,219.770	2,373.687	2,846.084
Q2 2029	5,434.980	2,483.331	2,951.649
Q3 2029	5,625.170	2,582.202	3,042.968
Q4 2029	5,810.350	2,674.048	3,136.303
Q1 2030	5,970.510	2,754.590	3,215.921
Q2 2030	6,125.660	2,833.017	3,292.643
Q3 2030	6,260.795	2,902.390	3,358.405
Q4 2030	6,395.925	2,971.954	3,423.971



Current Coherent non-GAAP operating profit and derived margins. Operating profit equals gross profit less the existing expense base and selected incremental expenses.

Quarter	Revenue	Gross margin	Opex	Operating profit	OP margin	Valuation OP
Q3 2026	2,390.000	40.08%	415.000	542.930	22.72%	542.930
Q4 2026	2,697.156	40.95%	456.284	648.306	24.04%	648.306
Q1 2027	3,008.512	41.77%	493.649	762.964	25.36%	762.964
Q2 2027	3,332.713	42.39%	531.729	881.106	26.44%	881.106
Q3 2027	3,652.730	43.02%	565.848	1,005.622	27.53%	1,005.622
Q4 2027	3,977.896	43.65%	601.977	1,134.285	28.51%	1,134.285
Q1 2028	4,248.089	44.19%	627.620	1,249.412	29.41%	1,249.412
Q2 2028	4,518.975	44.61%	654.715	1,361.358	30.13%	1,361.358

Quarter	Revenue	Gross margin	Opex	Operating profit	OP margin	Valuation OP
Q3 2028	4,769.325	44.94%	679.216	1,464.143	30.70%	1,464.143
Q4 2028	5,004.555	45.26%	702.228	1,562.599	31.22%	1,562.599
Q1 2029	5,219.770	45.47%	725.239	1,648.448	31.58%	1,648.448
Q2 2029	5,434.980	45.69%	748.249	1,735.082	31.92%	1,735.082
Q3 2029	5,625.170	45.90%	767.259	1,814.943	32.26%	1,814.943
Q4 2029	5,810.350	46.02%	787.268	1,886.780	32.47%	1,886.780
Q1 2030	5,970.510	46.14%	803.275	1,951.314	32.68%	1,951.314
Q2 2030	6,125.660	46.25%	820.283	2,012.734	32.86%	2,012.734
Q3 2030	6,260.795	46.36%	834.290	2,068.101	33.03%	2,068.101
Q4 2030	6,395.925	46.47%	849.296	2,122.657	33.19%	2,122.657

Engineering-risk contribution included in the model

The conditional case misses 20% of the defined pool during full phase. It avoids 90% of the production costs attached to missed sales, retains 10% as stranded costs, preserves original operating expenses and adds qualification expense equal to 2% of exposed reference sales. The 25% probability is applied once. Phase is zero in Q3 2026, 50% in Q4 2026, 100% during 2027, 50% in the first half of 2028 and zero thereafter. This assumes remediation without an additional catch-up revenue pool.

The exposure pool includes its existing FCC price contribution. Reducing that pool therefore removes the proportional FCC revenue and gross profit as part of the same risk calculation. No missed Coherent revenue is transferred to Lumentum. The separate anonymous NPO source case retains its 20% probability and 100% subjective overlap; neither input multiplies this engineering-risk branch.

Quarter	Phase	Revenue delta	GP delta	Extra opex	OP delta
Q3 2026	0.00%	-0.000	-0.000	0.000	-0.000
Q4 2026	50.00%	-2.844	-1.359	0.284	-1.644
Q1 2027	100.00%	-6.488	-3.148	0.649	-3.796
Q2 2027	100.00%	-7.288	-3.575	0.729	-4.304
Q3 2027	100.00%	-8.077	-4.007	0.808	-4.815
Q4 2027	100.00%	-8.879	-4.454	0.888	-5.342
Q1 2028	50.00%	-4.772	-2.416	0.477	-2.893

Quarter	Phase	Revenue delta	GP delta	Extra opex	OP delta
Q2 2028	50.00%	-5.105	-2.603	0.511	-3.114
Q3 2028	0.00%	-0.000	-0.000	0.000	-0.000
Q4 2028	0.00%	-0.000	-0.000	0.000	-0.000
Q1 2029	0.00%	-0.000	-0.000	0.000	-0.000
Q2 2029	0.00%	-0.000	-0.000	0.000	-0.000
Q3 2029	0.00%	-0.000	-0.000	0.000	-0.000
Q4 2029	0.00%	-0.000	-0.000	0.000	-0.000
Q1 2030	0.00%	-0.000	-0.000	0.000	-0.000
Q2 2030	0.00%	-0.000	-0.000	0.000	-0.000
Q3 2030	0.00%	-0.000	-0.000	0.000	-0.000
Q4 2030	0.00%	-0.000	-0.000	0.000	-0.000

The selected risk reduces Q4 2027 operating-quarter profit by 5.342107 and the Q4 2027-Q3 2028 valuation-window profit by 11.349096. The same-quarter price target changes from 494.838590 to **493.762846 USD/share** (-0.2174%). Portfolio Excel Base remains 80 and analytical Base remains 80.

Every revenue vector and product margin

Product gross profit equals product revenue multiplied by its modeled gross margin. Coherent has two existing vectors: Datacenter & Communications and Industrial. Their gross profits sum to consolidated non-GAAP gross profit. DC&C includes the selected risk and bounded policy pricing; no separate additive NPO, CPO, PhotonLink, OCS or merchant-laser revenue is created. Segment allocations and future margins remain LOW-confidence modeled estimates unless specifically identified as historical or guided.

Datacenter and Communications

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	1,970.000	41.10%	809.670
Q4 2026	2,272.156	41.99%	954.141
Q1 2027	2,588.512	42.79%	1,107.512
Q2 2027	2,907.713	43.39%	1,261.535
Q3 2027	3,222.730	44.00%	1,417.960
Q4 2027	3,542.896	44.61%	1,580.532
Q1 2028	3,813.089	45.13%	1,720.867
Q2 2028	4,078.975	45.54%	1,857.673
Q3 2028	4,329.325	45.85%	1,984.959
Q4 2028	4,559.555	46.15%	2,104.182
Q1 2029	4,774.770	46.35%	2,213.042
Q2 2029	4,984.980	46.55%	2,320.431
Q3 2029	5,175.170	46.75%	2,419.302
Q4 2029	5,355.350	46.85%	2,508.883
Q1 2030	5,515.510	46.95%	2,589.425
Q2 2030	5,665.660	47.05%	2,665.577
Q3 2030	5,800.795	47.15%	2,734.950
Q4 2030	5,930.925	47.25%	2,802.229

Industrial

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	420.000	35.30%	148.260
Q4 2026	425.000	35.40%	150.450
Q1 2027	420.000	35.50%	149.100
Q2 2027	425.000	35.60%	151.300
Q3 2027	430.000	35.70%	153.510
Q4 2027	435.000	35.80%	155.730
Q1 2028	435.000	35.90%	156.165
Q2 2028	440.000	36.00%	158.400
Q3 2028	440.000	36.00%	158.400
Q4 2028	445.000	36.10%	160.645
Q1 2029	445.000	36.10%	160.645
Q2 2029	450.000	36.20%	162.900
Q3 2029	450.000	36.20%	162.900
Q4 2029	455.000	36.30%	165.165
Q1 2030	455.000	36.30%	165.165
Q2 2030	460.000	36.40%	167.440
Q3 2030	460.000	36.40%	167.440
Q4 2030	465.000	36.50%	169.725

Full price target derivation

Coherent retains 20x forward-four-quarter non-GAAP operating profit. For each price target, sum the named calendar quarter and its next three quarters, multiply by 20 and the existing USD/unit factor of 1, then divide by the saved quarter-specific diluted shares. Valuation operating profit equals consolidated non-GAAP operating profit in this model; the saved ownership and senior-claim treatment is retained. Neither Base score nor either scenario probability is applied again to the price target. No stock-price-dependent upside or portfolio ranking appears here.

price target quarter / window	F4Q valuation OP	Multiple	Shares M	FX / unit factor	price target
Q3 2026 to Q2 2027	2,835.305830	20x	204.000000	1.000000	277.971160
Q4 2026 to Q3 2027	3,297.997750	20x	206.000000	1.000000	320.193956
Q1 2027 to Q4 2027	3,783.976831	20x	208.000000	1.000000	363.843926
Q2 2027 to Q1 2028	4,270.425282	20x	209.000000	1.000000	408.653137
Q3 2027 to Q2 2028	4,750.677449	20x	210.000000	1.000000	452.445471
Q4 2027 to Q3 2028	5,209.198029	20x	211.000000	1.000000	493.762846
Q1 2028 to Q4 2028	5,637.512136	20x	212.000000	1.000000	531.840768
Q2 2028 to Q1 2029	6,036.548170	20x	213.000000	1.000000	566.812035
Q3 2028 to Q2 2029	6,410.272000	20x	214.000000	1.000000	599.090841
Q4 2028 to Q3 2029	6,761.072500	20x	215.000000	1.000000	628.936977
Q1 2029 to Q4 2029	7,085.253000	20x	216.000000	1.000000	656.041944
Q2 2029 to Q1 2030	7,388.119000	20x	217.000000	1.000000	680.932627
Q3 2029 to Q2 2030	7,665.771000	20x	218.000000	1.000000	703.281743
Q4 2029 to Q3 2030	7,918.928500	20x	219.000000	1.000000	723.189817
Q1 2030 to Q4 2030	8,154.806000	20x	220.000000	1.000000	741.346000

Q4 2027 worked example: (1,134.285393 + 1,249.411966 + 1,361.358170 + 1,464.142500) × 20 × 1 / 211.000000 = **493.762846 USD/share**.

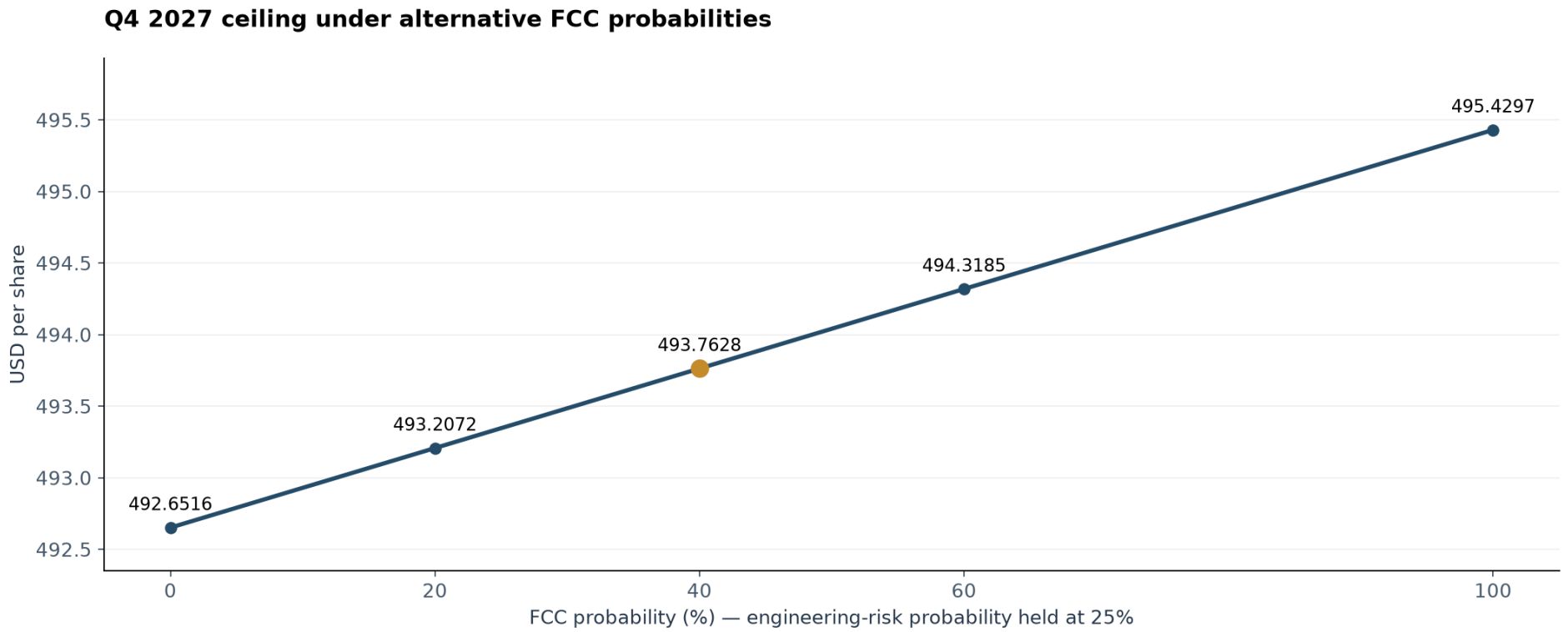
Annual cross-check

Calendar-year sums include only the saved quarters. The 2026 line covers Q3 and Q4; later years contain all four quarters. These are sums of the selected operating model, not additional revenue, a horizon roll or new management guidance.

Calendar year	Coverage	Revenue	Gross profit	Operating profit	OP margin
2026	2 quarters	5,087.156	2,062.521	1,191.236	23.42%
2027	4 quarters	13,971.851	5,977.179	3,783.977	27.08%
2028	4 quarters	18,540.944	8,301.291	5,637.512	30.41%
2029	4 quarters	22,090.270	10,113.267	7,085.253	32.07%

Calendar year	Coverage	Revenue	Gross profit	Operating profit	OP margin
2030	4 quarters	24,752.890	11,461.950	8,154.806	32.94%

Probability and dilution sensitivity



Q4 2027 price target under alternative FCC probabilities. Gold is the selected 40% policy case. Every point recalculates the dependent 25% engineering-risk branch, including the FCC contribution removed with missed sales.

Policy probability	Q4 2027 price target	Change from zero-policy sensitivity
0%	492.6516	0.000%
20%	493.2072	0.113%
40%	493.7628	0.226%

Policy probability	Q4 2027 price target	Change from zero-policy sensitivity
60%	494.3185	0.338%
100%	495.4297	0.564%

The engineering-risk probability, exposure, costs and phase remain fixed at their selected values for this diagnostic. Changing policy probability rebuilds the policy-adjusted DC&C pool and its margin before recalculating the risk. The zero-policy row is a control, not a second active forecast; simply subtracting the old policy contribution from the new target would miss this interaction.

Additional diluted shares	Q4 2027 price target	Interpretation
0%	493.7628	Same operating case; denominator sensitivity only
5%	470.2503	Same operating case; denominator sensitivity only
10%	448.8753	Same operating case; denominator sensitivity only

The 40% FCC weight and 25% engineering-risk weight are subjective judgments about their defined economic outcomes and timing, not statistical certainties. The common FCC event remains correlated across covered companies, rather than independent portfolio evidence. The next 12-16 months have the highest forecasting relevance; later continuation assumptions are less reliable. Existing valuation method, calendar convention, share schedule and both Base scores are unchanged.

Validation and next evidence

This current artifact and master model use the same selected 40% policy case and 25% bounded UHP qualification-risk branch. Existing company valuation methods, quarter conventions, ownership and dilution schedules are retained. Every existing Portfolio Excel Base is protected; the analytical score above is assessed separately.

The incremental ledger exposes revenue, production costs, gross profit and operating expense. A zero-policy sensitivity removes its pricing contribution and recalculates the proportional qualification-risk cost on the resulting revenue pool. It is a diagnostic control, not a competing active forecast. Reported facts and dated guidance retain their original dates; new pricing, exposure, costs and timing are labeled analyst assumptions.

The most useful next evidence is the proposed content definition, product-specific fabrication and assembly routes, contract repricing rights, delivered 3.2T qualification, accepted component premiums and unit-cost/yield data. Those observations can raise or lower the inputs and their probability; official confirmation is not a prerequisite for modeling this credible breadcrumb.

Current model: **COHR_Q_Model** in **v3_2_master_portfolio.xlsx**. The full quarterly model includes all original product vectors and the approved incremental operating bridge. Approval snapshots and change history are retained externally rather than as competing current forecasts.